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Annex III to the Commission Implementing Decision approving the third release of funds to North Macedonia under the Reform and Growth Facility for the Western Balkans

Assessment of the Conditions for Payment – North Macedonia

1. European Commission assessment of the preconditions for Union support

Effective democratic and rule of law mechanisms

North Macedonia has a multi-party parliamentary system. According to the Office for Democratic Institutions and Human Rights (ODIHR), the latest parliamentary and presidential elections of 2024 and local elections of 2025 were competitive and fundamental freedoms were respected, and election legislation provides a suitable framework for holding democratic elections. Campaign rules, access to the media and distribution of State funding need to be adequately regulated, and the Electoral Code merits revision throughout an inclusive process and with consensus across the political spectrum to address inconsistencies, gaps, and ambiguities to ensure legal certainty. North Macedonia should implement outstanding recommendations from the Organization for Security and Co-operation in Europe (OSCE) and ODIHR.

North Macedonia has undergone several waves of judicial reform and in December 2023 adopted a new justice strategy aiming to improve the independence, efficiency, and professionalism of the judiciary. External and political interference remain a serious concern. The independence of the judiciary is marred by insufficient allocations from the state budget. Further efforts are needed to increase accountability, transparency, and institutional capacities to prevent undue influence or intimidation. The rising deficit in human resources impacts the quality and efficiency of justice and needs to be addressed. In spring 2025, 97 judges and prosecutors were elected from the eighth generation of graduates from the Academy for Judges and Prosecutors. Meanwhile the admission procedure and initial training for the next generation is stalled, due to insufficient financial resources in the 2026 state budget for the training of the biggest ever intake of 130 students. The new Law on Judicial Council was adopted in December 2025. A comprehensive national anti-corruption strategy is in place, but it is not adequately implemented. A new national anti-corruption strategy is currently being drafted. Significant corruption risks persist across various sectors. The institutional framework on the fight against corruption is in place and is satisfactory in terms of preventive measures, though the track record in the fight against corruption and the law enforcement aspect need to be improved. Amendments to the Criminal Code in September 2023 have weakened the legal framework and negatively affected the prosecution of corruption, especially in high-level corruption cases. These amendments were challenged by the Constitutional Court in March 2025, giving the Parliament six months to review the contested provisions, after which they may be annulled or repealed. The Ministry of Justice formed a working group to draft a new Criminal Code, in line with the EU acquis and European standards, but the work has not been completed yet. On 28 January 2026, the Parliament adopted amendments to the Criminal Code upon the initiative of individual members, to redress the changes made in 2023 and as a response to the Constitutional Court's review deadline, which had expired in the meantime. The President signed the amendments on 29 January 2026. These amendments were presented as an interim solution before the adoption of a new Criminal Code.

Respect for all human rights obligations

The legal framework of North Macedonia on the protection of fundamental rights is partially aligned with the EU acquis and European standards. The country continues to meet its general obligations on fundamental rights, though legislation and pertinent strategies need to be implemented in a systematic manner. The country ratified most international human rights instruments. It needs to develop a comprehensive monitoring and data collection system to assess the level of implementation of human rights legislation, policies, and strategies and to fully benefit from its observer status in the European Union Agency for Fundamental Rights (FRA). While overall prison conditions remain a serious concern, prison infrastructure has been renovated, and several prison facilities have been improved. The Parliament needs to amend the Law on Ombudsman's Office in order to upgrade its 'B' accreditation status, based on the Paris Principles.

The preconditions are confirmed as met.

2. **European Commission assessment of the general conditions for payments**

a) Assessment of the macro financial stability

The **real sector** in North Macedonia demonstrated robust performance throughout 2025, with economic activity accelerating in key quarters. The economy expanded by an estimated 3.5% for the full year 2025, with momentum maintained into the fourth quarter at 3.8% year-on-year, supported by strong gains in construction (14.6%) and professional and scientific activities (8.1%). Final consumption grew nominally by 6.4% in the fourth quarter, underpinning revenue collection despite the overall shortfall against plan. Industrial production indices showed positive trends, rising to 127.24 (2010=100), 1.9% year-on-year, by December 2025, indicating expansion in manufacturing and related activities. Unemployment declined to 11.5% in the third quarter, supported by job creation amid the growth trajectory. Wage growth also contributed to household resilience, with average monthly net wages reaching EUR 746 by November 2025. Overall, the sector's outlook remains positive, with projections for continued steady expansion into 2026 at around 3.2-3.5%.

The **monetary sector** in 2025 focused on balancing inflation control with economic support, culminating in policy adjustments by year-end. The policy rate was reduced to 4% in December from 5.35% in November, signalling a shift to a more accommodative stance amid moderating price pressures. Inflation trended upward slightly, with the year-over-year rate at 4.1% in December 2025 and an annual average around 3.5-4%, influenced by food prices rising 5.3%. Core inflation stood at 4.3%, while the CPI reached 162.50 points by December 2025. Credit expansion was strong, with total loans growing 12.98% to reach EUR 9.465 billion, reflecting healthy banking sector activity and expected deposit growth of around 9.5%. The introduction of a new monetary policy framework in December, shortening the tenor of central bank bills to seven days, aimed to enhance operational efficiency. Projections indicate inflation easing to 3% in 2026.

Fiscal developments in 2025 highlighted challenges in maintaining budgetary discipline, driven primarily by a shortfall in revenue collection. For the full year 2025, the central government budget recorded a deficit of approximately EUR 679 million (MKD 41,839 million), marginally exceeding the planned deficit of EUR 671 million by 1.2%. Total revenues reached only 92.0% of

the annual plan, with non-tax revenues performing particularly poorly at 61.8% of target and excise duties at 87.9%. VAT collections were as expected, slightly surpassing the annual plan at 100.4%. On the expenditure side, total spending was executed at 93.0% of plan, with capital expenditures notably underperforming at 64.6% of the allocated budget – a pattern that, while containing the deficit signals delays in public investment. Contrary to initial concerns, wages and allowances (98.5% of plan) and pension fund transfers (97.8%) remained broadly in line with budgetary projections, meaning expenditure overruns were not the primary fiscal pressure. Public debt levels, including private debt at 51.9% of nominal GDP, remained manageable but underscored the need for adherence to fiscal rules. Looking ahead, reforms to broaden the revenue base, improve non-tax revenue collection, and accelerate capital budget execution will be crucial to stabilising the fiscal position and aligning with EU integration goals.

North Macedonia's **external sector** showed signs of improvement in 2025, though vulnerabilities persisted. The current account balance turned positive at EUR 62.3 million in the third quarter, reversing a deficit from the prior period and indicating better trade dynamics amid net financial inflows. Goods imports rose to EUR 2.6 billion in the third quarter, reflecting strong domestic demand, but overall external positions strengthened compared to earlier quarters. However, earlier deteriorations in 2024 carried over some risks, with inflation surges potentially impacting competitiveness. Looking forward, continued EU reform progress could facilitate better funding and trade integration, supporting a more resilient external balance.

The authorities in North Macedonia appear to be pursuing a **stability-oriented economic policy**, as demonstrated by prudent monetary adjustments to curb inflation while supporting growth, efforts to manage fiscal deficits within manageable debt levels, and measures to strengthen the external sector through international arrangements and exchange rate stability. The fixed peg of the denar to the euro further underscores this commitment to macroeconomic stability, even amid challenges like expenditure pressures and global uncertainties, positioning the economy for sustainable development aligned with EU aspirations.

In conclusion, the authorities are pursuing a stability-oriented macroeconomic policy, and the general condition is met.

b) Assessment of the soundness of the Public Financial Management system(s)

The 2025-2028 Public Finance Management Reform Programme (PFM/RP) is credible and relevant, though further system improvements are still needed. Some reform components continue to face delays due to the slow adoption of key legislation and challenges in the implementation of critical IT reforms. The PFM Sector Working Group met for the last time in July 2025 to endorse the Reform Programme, which was formally adopted by the Government in September 2025. The PFM/RP 2025 is structured around seven pillars, addressing the main weaknesses identified in these assessments. The Ministry of Finance's institutional capacity needs to be strengthen, facing challenges to attract and retain qualified staff.

Key weaknesses in the PFM systems are regularly identified by international assessments, including Public Expenditure and Financial Accountability (PEFA), Support for Improvement in Governance and Management (SIGMA), and EU country assessment reports. The most recent PEFA assessment was conducted in 2021, based on data from fiscal years 2018, 2019, and 2020. The latest SIGMA assessment was published in December 2024.

The budget process is well established and organised. Budget credibility has improved, supported by the operationalisation of the Fiscal Council, enhancements to the fiscal strategy and progress in monitoring fiscal risks. A new Organic Budget Law (OBL) was adopted by Parliament in September 2022. There has been some progress in the adoption of key legislation to implement the reforms envisaged in the Law. However, the development of an Integrated Financial Management Information System (IFMIS) is well below scheduled.

Some progress has been made in Public Investment Management (PIM). A new PIM Decree regulating the entire investment management cycle was adopted in April 2025 and the Ministry of Finance has delivered training to budget users to ensure its operationalization. Further, the Ministry of Finance has established an IT database to monitor the financial implementation of projects.

Budget execution is well structured. The Government operates a zero-balance Single Treasury Account daily. Expenditure controls at commitment level and monitoring of State-Owned Enterprises and Municipalities should be strengthened to prevent arrears.

Public Internal Financial Controls (PIFC) remain weak but there has been some progress after the adoption of the PIFC Law in December 2024. The new law is expected to facilitate essential reforms, including strengthening administrative capacity, reducing the fragmentation of Internal Audit and reinforcing Financial Management Controls. The Government approved a new methodology to develop risk management registers in September 2025 and there have been improvements in Internal Audit Units reporting.

Public procurement legislation is broadly aligned with the EU acquis. Despite North Macedonia's 'A' rating in the last PEFA assessment, practical implementation challenges persist, including low competition, exposure to corruption, and underdeveloped Public-Private Partnerships (PPPs). The use of the Most Economically Advantageous Tender (MEAT) criteria remains rare, with approximately 96% of tenders awarded based solely on the lowest price.

The State Audit Office (SAO) is considered operationally independent, but its official status as an independent institution has yet to be recognised in the Constitution. Parliamentary oversight of audit reports remains limited.

In conclusion, the soundness of the public finance management system (including the relevant reform strategy) is sufficiently confirmed, and the general condition is met.

c) Assessment of the transparency and oversight of the budget

The Executive's budget proposal and the final approved budget are published in a timely manner on the websites of both the Parliament and the Ministry of Finance. The main budget documents, including the annual budget, the Fiscal Strategy, the Debt Management Strategy, and the Final Accounts, are generally available to the public. However, the publication of recent Fiscal Strategies has faced delays in publication.

The Ministry of Finance has continued its efforts to enhance budget transparency by publishing quarterly data on the revenue and expenditure of public institutions, local government authorities, and state-owned enterprises. However, the comprehensiveness and accessibility of this data could be improved.

In the 2023 Open Budget Survey (OBS), North Macedonia scored 35, a slight decline from its score of 36 in 2021. The country makes five out of the eight key budget documents monitored by

the OBS publicly available within a timeframe consistent with international standards. To enhance budget transparency, the timely publication of the Citizens Budget, Mid-Year Budget Review, and Fiscal Strategy needs to be prioritised.

According to the latest OBS, there is only limited oversight throughout the budget cycle. The government should ensure that the draft budget is submitted to Parliament at least two months before the start of the fiscal year, allowing for in-depth budget policy debates before adoption. Opportunities for public participation in the budget process remain limited. The Ministry of Finance should further promote public engagement at all stages of budget preparation, execution, and reporting.

In conclusion, budget transparency and oversight of the budget are sufficiently sound and the general condition is met.

The general conditions are confirmed as met.

3. European Commission review of the achievement of the steps in the Reform Agendas

The Commission has reviewed the information provided by the beneficiary and has no indication that the implementation of the steps contravenes the general principles outlined in Article 4 and 11(4) of Regulation (EU) 2024/1449 and Article 3 of the Facility Agreement, or the 'Do No Significant Harm' principle (DNSH).

Reform 1.1.1. Strengthen Public Internal Financial Control

The step under review	*At least 80% of budget users at central level and 75% at local level submit a report on performed internal audits*
Baseline	54% (2022) (Central level 55%; local level 52%)
Deadline of the step	December 2025
Conclusion of the review of the step by the beneficiary	The beneficiary considers this step as achieved.
Commission assessment of results	The Central Harmonization Unit has substantially strengthened capacity building and coordination and communication mechanisms with budget users in order to reinforce the reporting mechanisms in accordance with Article 60 of the Law on the System of Internal Financial Control in the Public Sector and the Rulebook on the Form and Content of the Reports and the Statement on the Quality and Status of Internal Controls as part of the Annual Financial Report. In the Fiscal Year 2024, there were 99 central level budget users in total and 81 local level budget users in total, meaning that in order to achieve the step, at least 80 of the central level budget users (80.8%) and 61 of the local level budget users (75.3%) should submit such reports. The percentage of Budget Users reporting on the implementation of performed internal audits has increased substantially, reaching the numbers required by the Reform Agenda: 80 budget users at **central level (80.8%)** and 62 at **local level (76.5%)**. It is expected that this improvement in reporting will enhance the analytical capacity of the Central Harmonization Unit and will support the implementation of the Law on Public Internal Financial Controls. **Based on the above, the Commission considers the step as achieved.**
Checks performed and evidence used in the verification of the	In line with the sources of verification, the following evidence was provided:

step and related findings	• Annual report on the functioning of Public Internal Financial Controls (PIFC) 2024, as published on the website of the Minister of Finance. • Rulebook for PIFC report. • Government conclusions of the 2024 PIFC report. The beneficiary has additionally submitted: • Sample of budget users at central and local level selected by the Commission to verify the adherence to the Annex 5 of PIFC Rulebook. As part of its assessment, the Commission reviewed all submitted documentation. It also analysed a sample of the reports to verify the adherence of reporting to Annex 5 of the Rulebook on the Form and Content of the Reports and the Statement on the Quality and Status of Internal Controls and it considers it satisfactory.
Double funding	No contributions from third parties were identified or reported in support of the achievement of this step.
Clear conclusion on the achievement of the step	**Fully achieved.**

Reform 1.1.1. Strengthen Public Internal Financial Control

The step under review	*Minimum of 70% of parent budget users at central level have a risk management document, including anti-corruption risk and record the identified risks in mitigation plans*
Baseline	60% (2023)
Deadline of the step	December 2025
Conclusion of the review of the step by the beneficiary	The beneficiary considers this step as achieved.
Commission assessment of results	Following the adoption of Law on Public Internal Financial Controls in December 2024, the Government adopted in September 2025 a new Methodology for Risk Management in Public Entities that provides new templates to report risks, including the obligation of incorporating anti-corruption in risk registers. With the support of the Public Finance Academy, in September 2025 the Central Harmonization Unit organized an online training

	session to build capacity on the application of the new methodology. The training was attended by approximately 180 participants (state advisers, heads of departments, heads of units, and staff involved in risk management structures), the majority of whom were from first-line budget users. In 2026, there are 84 parent budget users at central level. To achieve the step, 70% of parent budget users (minimum of 59 out of 84) should submit risk management documents that include anti-corruption risk and record the identified risks in mitigation plans with proposed measures. Risk registers were received from 64 parent budget users, including anti-corruption risks (i.e. 76%). The Central Harmonization Unit developed a monitoring and quality assurance system to verify the adherence of the risk registers to the template. The analysis of the risk registers illustrates the following aggregated results: • Number of identified strategic risks: 427. • Number of identified operational risks: 1471. • Number of identified strategic corruption-related risks: 64. • Number of identified operational corruption-related risks: 229. • Identified measures for addressing strategic risks (including corruption-related risks): 452. • Identified measures for addressing operational risks (including corruption-related risks): 1478. **Based on the above, the Commission considers the step as achieved.**
Checks performed and evidence used in the verification of the step and related findings	In line with the sources of verification, the following evidence was provided: • Report on the Implementation of the Step, as published on the website of the Minister of Finance and translated in English. • Methodology for Risk Management in Public Entities, as published on the website of the Minister of Finance and translated in English. • Risk management process templates for budget users, as published on the website of the Minister of Finance. • Monitoring table for follow up of Risk management step implementation.

	The beneficiary has additionally submitted: • Sample of parent budget users risk management documentation. As part of its assessment, the Commission reviewed all submitted documentation. It also analysed a sample of the reports to verify the adherence of reporting to the template, and it considers it satisfactory.
Double funding	No contributions from third parties were identified or reported in support of the achievement of this step.
Clear conclusion on the achievement of the step	**Fully achieved.**

Reform 1.1.2. Strengthen the public procurement system

The step under review	*Use of auctions in Tenders in Fiscal Year 2025 decreased to maximum 40% of Tenders*
Baseline	Share of 62% procurement procedures used E-auctions (2023)
Deadline of the step	December 2025
Conclusion of the review of the step by the beneficiary	The beneficiary considers this step as achieved.
Commission assessment of results	In January 2025, the Government introduced an amendment to the Law on Public Procurement prescribing that the contracting authority may use the e-auction in up to 40% of the number of published contract notices, starting from 2025. The excessive use of electronic auctions has been identified as a major drawback of the public procurement system in the annual progress reports. This concern is also highlighted in the annual reports of the Public Procurement Bureau. It is expected that this reduction in the use of e-auctions will reduce the number of tender cancellation and will encourage bidders to submit financial proposals more aligned with market prices. Following the adoption of the amendment, the Public Procurement Bureau submitted a circular for guidance using the Electronic System for Public Procurement and provided training to the contracting authorities to ensure appropriate implementation of the Law.

	The Electronic System for Public Procurement (ESPP) illustrates that, during the period 1 January 2025 to 31 December 2025, the number of contract notices were 24,171, out of which 5,291 used e-auctions. Therefore, **only 21.88% of the procurement procedures used e-auctions**. The result is notably below the agreed conditionality in the Reform Agenda and a substantial decline from the use of e-auctions in 2023 (62%). **Based on the above, the Commission considers the step as achieved.**
Checks performed and evidence used in the verification of the step and related findings	In line with the sources of verification, the following evidence was provided: • Final data on the use of e-auctions in Tenders in 2025, including print screens from the Electronic System of Public Procurement illustrating the total number of contract notices and the number of contract notices using e-auctions. The beneficiary has additionally submitted: • Data on use of the auction in public procurement procedures, directly from Electronic System for Public Procurement, for the period 01 January 2025 – 31 December 2025. • Draft Report on fulfilment of the Reform Agenda Step "Decrease the Use of Auctions in Tenders in fiscal year 2025 to maximum 40% of Published Tenders". • Action Plan for Achieving the Measure to Decrease the Use of E – Action in accordance with the Measures of the Reform Agenda. • Information on the Commitment to Decrease the Percentage of Electronic Auctions in Public Procurement. • Conclusion of the 46th Session of the Government of the Republic of North Macedonia no.50-580/2 of 6 February 2025 upon the Information on the Commitment to Decrease the Percentage of Electronic Auctions in Public Procurement in 2025 in line with the Reform Agenda under the Growth Plan. • Law Amending the Law on Public Procurement (*Official Gazette of Republic of North Macedonia No. 14, 23 January 2025*). • Excerpt of the Article 15 of Law Amending the Law on Public Procurement. • Proofs of delivered three online trainings for contracting authorities.

	As part of its assessment, the Commission reviewed all submitted documentation.
Double funding	No contributions from third parties were identified or reported in support of the achievement of this step.
Clear conclusion on the achievement of the step	**Fully achieved.**

Reform 1.1.3. Full implementation of the 2022 Organic Budget Law, including reform in Public Investment Management

The step under review	*Adoption of at least 17 bylaws foreseen in the Organic Budget Law (OBL), including establishing of the registry of public entities (Art 4), revision of the budget classification (art 5) and reduction of the number of primary ("parent") budget users by at least 40% in the administrative classification and Public Investment Management Decree (art 20)*
Baseline	0 (2024) (Bylaws not adopted)
Deadline of the step	December 2024
Conclusion of the review of the step by the beneficiary	The beneficiary considers this step as achieved.
Commission assessment of results	The following bylaws were adopted by North Macedonia in December 2024, covering key elements of the public financial management framework, including fiscal strategy, budget classifications, registry-related reporting rules and treasury management procedures: 1. Fiscal Policy Statement; 2. Register of Public Entities; 3. Economic Classification; 4. Functional Classification; 5. Classification by Sources of Financing; 6. Rulebook on the form and content of the template for assessment of the medium-term fiscal implications; 7. Rulebook on the format and content of the gender-responsive budget statement; 8. Guidelines for the preparation of macroeconomic and fiscal projections and the coordination process between organizational units and institutions involved in macroeconomic and fiscal planning; 9. Form and content of the misdemeanour payment order;

	10. Fiscal Strategy; 11. Rulebook on the manner and deadlines for submitting information provided by municipalities, other budgetary users and other public entities managing the financial assets of the state or the municipalities, legal entities in which the state or the municipalities have a direct or indirect equity investments and others legal entities, for the needs of the Registry of shares, stakes and equity participation in legal entities of the state and the municipalities; 12. Rulebook on the manner of opening the foreign exchange accounts of the budget; 13. Rulebook on the manner of issuing the approval for the proposals for concluding financial leasing agreements to the budget users of the state budget or the municipal budget; 14. Guideline on manner of Budget liquidity planning; 15. Guideline on manner of managing with liquidity of Treasury single account; 16. Rulebook on the manner of entering into commitments in the Budget for the current year and in the budgets for the following years and the manner of availability of spending rights in the Budget entering into public procurement procedure. In line with the Reform Agenda, the following elements are required for the achievement of the step: I) establishing of the registry of public entities, II) revision of the budget classification and reduction of the number of primary ("parent") budget users by at least 40% in the administrative classification, III) Public Investment Management Decree. The registry of public entities was established at the following link: https://arhiva.finance.gov.mk/wp-content/uploads/2025/02/REGISTER-OF-PUBLIC-ENTITIES.xlsx. In April 2025, the Government of North Macedonia adopted the Decree on Public Investment Management, therefore fulfilling the third condition and representing the seventeenth bylaw. In December 2025, the Government adopted the remaining two bylaws meeting the second requirement specified in the Reform Agenda:

	• Revision of Organizational classification: https://portal.mdt.gov.mk/post-body-files/budzet-i-finansiranje-na-els-file-xfJN.xlsx • Revision of Program classification: https://portal.mdt.gov.mk/post-body-files/budzet-i-finansiranje-na-els-file-oT9F.xlsx The organizational classification includes second-line budget users under each primary ("parent") budget user. The programme budget classification has been sufficiently developed with a proper revision of the programme budget structure. With these elements, the Commission considers that the content of the bylaws meets the requirement of the Reform Agenda. In December 2025, North Macedonia amended the Organic Budget Law, postponing the entry into force of the revised budget classifications initially scheduled for 2026 until January 2028, due to delays in the implementation of the Integrated Financial Management Information Systems (IFMIS). **Based on the above, the Commission considers this step as achieved.** The beneficiary should nevertheless ensure that all the necessary conditions are effectively in place for the full operationalisation of the revised budget classifications and other bylaws within the newly established timeframe for their entry into force, including the required IT infrastructure. The Commission will closely monitor the implementation of the step and, if necessary, may consider further measures in light of Article 17(4) of the Facility Agreement between the EU and the Republic of North Macedonia.
Checks performed and evidence used in the verification of the step and related findings	In line with the sources of verification, the following evidence was provided: • List of the bylaws with link to the publication. • Translation of the bylaws. The beneficiary has additionally submitted: • Report on training of the budget users to develop the programme budget classification. As part of its assessment, the Commission reviewed all submitted documentation.
Double funding	Contributions from third parties were identified in support of the achievement of this step. The EU funded project "*Strengthening budget planning, execution and internal control functions*"

	provided support in developing an action plan for implementation of the OBL and drafting some of the bylaws. The United States Treasury also provided technical assistance to develop the revised budget classifications, while the World Bank and the International Monetary Fund (IMF) provided expertise on specific topics. On the basis of the Commission's assessment, the degree of such contributions does not constitute a case of double funding, as the support was primarily focused on enabling factors, while the beneficiary delivered the main objective of the step, i.e. the adoption of the bylaws.
Clear conclusion on the achievement of the step	**Fully achieved.**

Reform 1.1.3. Full implementation of the 2022 Organic Budget Law, including reform in Public Investment Management

The step under review	*Developed adequate level [excel based] transitory IT solution that will provide the Ministry of Finance with a database of projects from which to select budget candidates and monitor financial implementation of projects*
Baseline	0 (2023) (No IT solution for registering proposed infrastructure projects that will serve to creating a single pipeline of projects is in place.)
Deadline of the step	December 2025
Conclusion of the review of the step by the beneficiary	The beneficiary considers this step as achieved.
Commission assessment of results	The Public Investment Management (PIM) Department has developed an excel based Public Investment Management Information System (PIMIS) based in an International Monetary Fund Fiscal Affairs Department (IMF-FAD) system. The system was initially installed in June 2024, but several adjustments and tailor to the Macedonian legislation were required. The PIM Department has made substantial efforts to collect Project Concept Notes (PCN) for new projects and monitoring reports from ongoing projects in order to build a database of public investment. By end of 2025, the Ministry of Finance received 12 PCNs for new project proposals and monitoring reports from 33 ongoing projects. The total financial value of the projects covered by the database is MKD 206,505,550,550.80 (EUR 3,357,813,830.09). The PIM

	Department has cross-checked the information received with the information available in the list of Loan Agreements signed by Ministry of Finance and 2026 budget allocations in order to assess the comprehensiveness of the database. All the projects in the list of Loan Agreements within the scope of the PIM Decree have been incorporated in the database. According to the Government's reporting, only one new project within the scope of the PIM Decree was included in 2026 Budget project loan titled: "Freight Rolling Stock Renewal" and the project was duly recorded in the database. The Reform Agenda required to create a database of projects from which to select budget candidates and monitor financial implementation of projects. The authorities developed an excel-based transitory IT solution, but the system is not user-friendly and the reporting by line Ministries and data entry are fully manual, increasing the chances of errors. Whilst this constitutes a **minimal substantive deviation** from the requirement of the Reform Agenda, the information in the system is consistent with the information required by the PIM Decree and can support budget prioritization and monitoring of projects. As of this, this minimal deviation does not change the nature of the measure and does not affect the progress towards achieving the reform that the step represents. Based on the information provided, it is considered that the database provides a good foundation for the selection of budget candidates and monitoring of projects. **On this basis, it is considered that this constitutive element of the step is achieved.** **Based on the above, the Commission considers the step as achieved.** PIMIS is operational and the system is fit for purpose, however the PIM database should be digitalized to make it more user friendly and minimize errors in data entry.
Checks performed and evidence used in the verification of the step and related findings	In line with the sources of verification, the following evidence was provided: • Printscreen of the PIMIS Landing Page. • List of approved PCNs and copy of the PCNs from the PIMIS. • Table of Loan Agreements signed/to be signed by Minister of Finance on behalf of the Government. • Copy of the project monitoring reports from the PIMIS – core budget and foreign loans. • Copy of the project monitoring reports from the PIMIS – Joint Stock Companies (JSC).

	The beneficiary has additionally submitted: • Technical Assistance Report – Public Investment Management: Implementing PIMIS, July 2025, IMF FAD. • Aide memoire – Public Investment Management Information System, December 2024, IMF FAD. • Aide memoire – Supporting the Development of a Public Investment Management Information System, August 2024, IMF FAD. • Aide Memoire – Public Investment Management: Planning Business Processes, November 2023, IMF FAD. • Table of projects funded under the core budget. • Table of projects funded from foreign loans. • 2026 Budget allocations – core budget. • 2026 Budget allocations – foreign loans. As part of its assessment, the Commission reviewed all submitted documentation.
Double funding	Contributions from third parties were reported in support of the achievement of this step. The baseline system was developed by the IMF within an EU-funded project implemented by the IMF. The Ministry of Finance tailored the system to the data requirements of the PIM Decree and translated the fields. Furthermore, the step concerns also population of the database with project implementation data, not just the population of the system. On the basis of the Commission's assessment, the degree of such contributions does not constitute a case of double funding, as the support was primarily focused on enhancing expertise, while the beneficiary delivered the main objectives of the step.
Clear conclusion on the achievement of the step	**Fully achieved.**

Reform 1.2.1. Reorganisation reform

The step under review	*Adoption of the new Law on the Organization and Operation of the State Administrative Bodies (LOSAB).*
Baseline	0 (2024) (Law not adopted)
Deadline of the step	December 2025
Conclusion of the review of the step by the beneficiary	The beneficiary considers this step as not achieved.

Commission assessment of results	In 2025, the Ministry of Public Administration (MPA) launched an initiative for adoption of a new Law on organisation and operations of state administrative bodies (LOOSAB). On 21 August 2025, the Minister of Public Administration issued a decision establishing an interinstitutional working group to work on the draft law based on the previous versions of the draft law prepared by an earlier project funded by the Instrument for pre-accession assistance (IPA) in 2022-2024. The Working Group will agree on the type of organisation, after which the legal proposals would be adjusted. The preparations are at very early stage as there is no working version of the law. To achieve this step, the Parliament must adopt the new Law. The process should be inclusive, timely, and based on broad political consensus. **On this basis, the Commission considers this step as not achieved.**
Checks performed and evidence used in the verification of the step and related findings	No evidence provided in line with the sources of verification, however the beneficiary has submitted: • Decision on the Establishment of a Working Group for the Preparation of a Draft Law on the Organisation and Operation of the Bodies of State Administration (*Archive No. 12-3349/2*).
Double funding	Contributions from third parties were identified in support of the achievement of this step. An IPA project from 2022 to 2024 provided support to the drafting of the law by providing recommendations and organising trainings. The Commission will assess whether the degree of such contributions constitute a case of double funding when the step will be reported as fully achieved.
Clear conclusion on the achievement of the step	**Not achieved**. The 'grace period' runs until 31 December 2026.

Reform 1.2.2. Civil service reform

The step under review	*Adopt laws and bylaws to increase staff motivation and reduce staff turnover, to allow faster career progression based on merit, recruit at a grade that corresponds to qualification and previous working experience of candidates, facilitate later promotion, improve working conditions, i.e., flexible working arrangements, promote mobility, teleworking possibilities, etc. Data will be published on grounds for dismissal of public servants for 100% of dismissals.*

Baseline	0 (2024) (Laws and bylaws not adopted)
Deadline of the step	December 2025
Conclusion of the review of the step by the beneficiary	The beneficiary considers this step as not achieved.
Commission assessment of results	The revised legislation on administrative servants and on public sector employees was enacted in July 2025 (*Official Gazette No. 144/25*). While the two laws bring improvements in terms of the organisation of selection procedures, regulation of temporary employments, working conditions and data collection in the human resources management area, they maintain fragmentation in the system by allowing a large number of special statute civil servants whose rules on personnel policy might vary without justified need. Arbitrary allocation of bonuses based on broadly defined criteria and procedures is maintained. With the current legal framework, inconsistent application of recruitment and promotion procedures across the public sector continued. The contradictory rules in sectoral laws, which allow employees to be excluded from the scope of the Law on administrative servants, are still in force. The new legal framework reinstated some merit requirements for recruitment and promotion, which were removed in previous amendments, and introduced new provisions regarding teleworking. However, concerns remain about the scope, the classification and the remuneration and award system, within the Law on administrative servants. The laws were subsequently amended (*Official Gazette No. 252/25*) to postpone their application from 1 January 2026 to 1 January 2027, as some of the preconditions for their implementation were not fulfilled. The analysis done by the Ministry of Public Administration proved that all preparations for implementing Chapter III of the law, defining the conditions set and the classifications of the job positions, and chapter XII stipulating the salaries, supplements and bonuses, cannot begin in 2026. Only Article 79, foreseeing supplements for the IPA, Reform Agenda, and EU structures, will be applicable as of 1 February 2026. The Law on administrative servants was amended once again (*Official Gazette No. 266/25*) to further clarify that the salary supplements will range from 15% to 30% (not with many various percentages as previously defined). The Ministry of Public Administration was added to the Ministry of Finance and the Ministry of European Affairs as responsible institution for proposing retention policy. No retention policy paper, following Article 79, is adopted yet. Even if adopted it would partially

	address this step as it would only address one segment of the civil service. **On this basis, the Commission considers this step as not achieved.**
Checks performed and evidence used in the verification of the step and related findings	In line with the sources of verification, the following evidence was provided: • Law on Administrative Servants (*Official Gazette of the Republic of North Macedonia No. 144, 17 July 2025*). • Law on Public Sector Employees (*Official Gazette of the Republic of North Macedonia No. 144, 17 July 2025*). • Law on Professional Development and Training of Administrative Servants (*Official Gazette of the Republic of North Macedonia No. 144, 17 July 2025*). • Law on Administrative Servants (*Official Gazette of the Republic of North Macedonia No. 252, 16 December 2025*). • Law on Public Sector Employees (*Official Gazette of the Republic of North Macedonia, No. 252, 16 December 2025*) and Law on Professional Development and Training of Administrative Servants (*Official Gazette of the Republic of North Macedonia No. 252, 16 December 2025*). • Law on Administrative Servants (*Official Gazette of the Republic of North Macedonia No. 266, 29 December 2025*). • Decision on the Establishment of a Working Group for the Preparation of Bylaws for the Law on Administrative Servants, the Law on Public Sector Employees, and the Law on Professional Development and Training of Administrative Servants. To prove achievement of the step, the beneficiary should additionally provide the published data for grounds of dismissals in the public service.
Double funding	Contributions from third parties were reported in support of the achievement of this step. An IPA-funded project provided 20 expert working days for conducting an analysis of the retention policy in some EU Member States and for analysing the policy measures on retention implemented thus far. The Commission will assess whether the degree of such contributions constitute a case of double funding when the step will be reported as fully achieved.
Clear conclusion on the achievement of the step	**Not achieved**. The 'grace period' runs until 31 December 2026.

Reform 1.2.2. Civil service reform

The step under review	*At least 90% of vacant managerial positions (Directors and Secretaries) per year are filled in following a competitive and transparent recruitment procedure, including ensuring that for each of these recruitment procedures there are at least 3 eligible candidates.*
Baseline	0 (2024)
Deadline of the step	December 2025
Conclusion of the review of the step by the beneficiary	The beneficiary considers this step as not achieved.
Commission assessment of results	North Macedonia initiated the preparations for a new law on senior management service in 2025. A concept document for the senior management service was prepared, defining its scope, objectives and governance model. An inter-institutional working group was established to prepare the draft Law on the Senior Managers in the bodies of state administration and funds. On 30 December 2025 the draft law was published for public consultations. The EU-OECD joint initiative "Support for Improvement in Governance and Management" (SIGMA) provided comments in January 2026. A public debate with all relevant stakeholders, unions, academia, civil society organisations, donors and international organisations, was organised on 17 January 2026. To achieve this step, the Parliament must adopt the new Law. The process should be inclusive, timely, and based on broad political consensus. In 2025, no unified legal framework was in place to ensure that at least 90% of senior management positions were filled through competitive and transparent procedures with a minimum of three eligible candidates per procedure. Consequently, no consolidated annual data demonstrating compliance with the quantitative target could be produced for the 2025 reporting period. **On this basis, the Commission considers this step as not achieved.**
Checks performed and evidence used in the verification of the step and related findings	No evidence provided in line with the sources of verification, however the beneficiary has submitted: • Draft Law on the Senior Managers in the bodies of state administration and funds.

	• Decision on the Establishment of a Working Group for the Preparation of a Draft Law on the Senior Top Service (*Archive No. 12-3350/2*). • Decision on establishing an indicative list of senior managers in state administration bodies and funds.
Double funding	Contributions from third parties were reported in support of the achievement of this step. The draft law was prepared with expert and technical support provided by the British Embassy and the Centre for Change Management. The Commission will assess whether the degree of such contributions constitute a case of double funding when the step will be reported as fully achieved.
Clear conclusion on the achievement of the step	**Not achieved**. The 'grace period' runs until 31 December 2026.

Reform 2.1.1.1. Align with electricity integration package to enable electricity market coupling of the EU and North Macedonia: establish the day ahead electricity market, operationalise the package in line with the market coupling operator integration plan by the end of 2025.

The step under review	*Continue the implementation of the electricity integration roadmap by the Transmission System Operator (TSO) and the Nominated Electricity Market Operators (NEMOs) joining day ahead market coupling with the EU, in line with Energy Community requirements.*
Baseline	Day ahead market functional since 10 May 2023 (2023)
Deadline of the step	December 2025
Conclusion of the review of the step by the beneficiary	The beneficiary considers this step as not achieved.
Commission assessment of results	Through the establishment of the Working Group, the Ministry of Energy, Mining and Mineral Resources is advancing the process of transposition of the Electricity Integration Package (EIP) and of implementation of other steps required for day-ahead market coupling with the EU. Accordingly, current work is focused on completing the reform step due in June 2025 "*Complete transposition of the electricity integration package and continue its implementation, in line with Energy Community requirements"*. **On this basis, the Commission considers this step as not achieved.** To achieve the step, North Macedonia needs to

	undertake all the required actions that are solely dependent on itself in the process towards day-ahead market coupling with the EU.
Checks performed and evidence used in the verification of the step and related findings	No evidence was provided in line with the sources of verification, however the beneficiary has submitted: • Decision of the Ministry of Energy, Mining and Mineral Resources to establish a working group for the implementation of reform. • Meeting minutes from the meetings of the Working Group.
Double funding	Contributions from third parties were identified in support of the achievement of this step, and the market coupling process as a whole, including the pre-requisite EIP legislative transposition step. Namely, IPA-funded support assisted the Working Group with clarifying institutional responsibilities, strengthening coordination and provided an indicative roadmap and timeline for implementation. The Ministry is being supported from Deutsche Gesellschaft für Internationale Zusammenarbeit (GIZ) for the drafting of secondary legislation. The Commission will assess whether the degree of such contributions constitute a case of double funding when the step will be reported as fully achieved.
Clear conclusion on the achievement of the step	**Not achieved**. The 'grace period' runs until 31 December 2026.

Reform 2.1.1.2. Gradual electricity price adjustments to market level accompanied with measures to address energy poverty

The step under review	*Implement measures aimed at protecting vulnerable customers with a methodology in place to measure energy poverty levels.*
Baseline	0 (2024)
Deadline of the step	December 2025
Conclusion of the review of the step by the beneficiary	The beneficiary considers this step as not achieved.
Commission assessment of results	In line with the Reform Agenda, the following activities should take place in order to achieve this step: ▪ *Establishing a working group with representatives from relevant stakeholders that deal with energy poverty,*

	including but not limited to: Ministry of Energy, Mining and Mineral Resources, and Ministry of social affairs. ▪ *Working group prepares analysis and suggestions on the need for amending relevant laws and bylaws related to energy poverty and supporting vulnerable energy consumers and relevant Ministries submit to the Government proposals on amending this legislation.* ▪ *Parliament adopts the proposals for amending relevant Laws based on the proposal of the relevant Ministries.* *Implement measures aimed at protecting vulnerable customers based on the methodology in place to measure energy poverty levels. The Methodology will define who are vulnerable consumers and what measures should be implemented to support these consumers.* The Ministry of Energy, Mining and Mineral Resources formed a Working Group for the implementation of this reform and provided an analysis on how to reduce energy poverty in the Republic of North Macedonia. The analysis recommends a series of non-legislative measures and proposed legislative amendments aimed at reducing energy poverty. To consider the step achieved, the remaining sub-steps need to be completed. **On this basis, the Commission considers this step as not achieved.**
Checks performed and evidence used in the verification of the step and related findings	In line with the sources of verification, the following evidence was provided: • Draft Methodology for measuring the level of energy poverty. • Report on the Implementation of the Programme for the Protection of Vulnerable Consumers (2025). The beneficiary has additionally submitted: • Programme for the Protection of Vulnerable Consumers (2025). • Programme for the Protection of Vulnerable Consumers (2026). • Analysis on reducing energy poverty in the Republic of North Macedonia. • Decision of formation of a working group to work on the development of the methodology for measuring the level of energy poverty.

	• Meeting minutes of the working group and correspondence with other national institutions.
Double funding	No contributions from third parties were identified or reported in support of the achievement of this step.
Clear conclusion on the achievement of the step	**Not achieved.** The 'grace period' runs until 31 December 2026.

Reform 2.1.2.1. Implementation of climate and energy policies and measures as foreseen in the National Energy and Climate Plan (NECP)

The step under review	*Governance structures foreseen in the Just Transition Roadmap are operational and have approved the annual implementation plan for 2025.*
Baseline	Current governance structure based on the Just Transition Roadmap (2024)
Deadline of the step	December 2024
Conclusion of the review of the step by the beneficiary	The beneficiary considers this step as achieved.
Commission assessment of results	In line with the Reform Agenda, the step foresees the following activities: *I. Governance structure fully operational with defined roles, responsibilities, and decision-making processes. Coordination, meetings and approvals to be obtained by the Just Transition Council.* North Macedonia has established the governance structures in line with the Just Transition Roadmap. It consists of the Just Transition Council (JTC), the Technical Support Unit (TSU), three Working Groups (WGs), and the Regional Forum. The JTC acts as the highest decision-making body, responsible for approving annual implementation plans, funding priorities, and key strategic documents, as well as reviewing progress reports submitted by the TSU and WGs. The TSU functions as the operational and coordination body, providing administrative and technical support, consolidating inputs from the working groups, and ensuring timely reporting and implementation. The working groups are responsible for developing project proposals, implementing activities, and providing technical input based on sectoral analyses. The Regional Forum covering the coal-affected areas (notably Bitola and Kičevo) ensures local participation,

	identifies regional needs, and feeds inputs into the national process. Information flows between all bodies are coordinated by the TSU, ensuring alignment and consistency. Since September 2025, the JTC and the WGs have met regularly to assess progress of the implementation of the Just Transition Roadmap and to develop the Just Transition Annual Implementation Plan (JTAIP) for 2026. *II. Establish monitoring and reporting system to monitor progress against workplan milestones.* The monitoring and reporting system established for progress of activities includes monthly progress reports and quarterly reports, with a detailed analysis of performance against key performance indicators (KPIs) and financial overviews. The monitoring reports for October and November 2025 outline the current state of implementation of the measures included in the Just Transition Roadmap. In addition, the monitoring table for the 2026 JTAIP presents a month-by-month schedule of activities, which will support tracking progress against the targets. Compared to the beginning of 2025, the monitoring system put in place demonstrates the uptake of efforts in overseeing the implementation of the Annual Plan activities. *III. Formulation of annual implementation plan, including detailed action items, timelines and resource allocation and list of projects/pipeline with input from all relevant stakeholders.* The 2026 JTAIP was approved by the Government on 30 December 2025. It focuses on activities from the Just Transition Roadmap, detailing action items with specific timelines, resource allocations and responsible institutions, within the targeted period (2026). The 2026 JTAIP is a much more operational document than the previous plan for 2025 and it is considered sufficient to meet the requirement of the Reform Agenda. In light of the December 2026 and December 2027 reform steps and to ensure overall consistency, the Ministry could consider including additional details on the action that supports the retraining and re-employment of workers currently employed at the Bitola and Kichevo power plants. **Based on the above, the Commission considers this step as achieved.**
Checks performed and evidence used in the verification of the	In line with the sources of verification, the following evidence was provided: • The 2026 Just Transition Annual Implementation Plan. • The 2025 Just Transition Annual Implementation Plan.

step and related findings	• The Just Transition Roadmap monitoring report (October and November 2025). The beneficiary has additionally submitted: • Draft minutes from the Government session on 30 December 2025 approving the 2026 JTAIP. • Minutes of the meetings of the Just Transition working groups (September, October, November, December 2025). • Minutes of the meetings of the Just Transition Council (September, December 2025). As part of its assessment, the Commission reviewed all submitted documentation.
Double funding	No contributions from third parties were identified or reported in support of the achievement of this step.
Clear conclusion on the achievement of the step	**Fully achieved**.

Reform 2.1.4.1 Work on carbon pricing with the aim of having an ETS in place by 2030: development, adoption and full implementation of the Monitoring, Reporting, Verification and Accreditation (MRVA) package

The step under review	*Full implementation of Monitoring, Reporting and Verification and Accreditation (MRVA)*
Baseline	0 (2024)
Deadline of the step	December 2025
Conclusion of the review of the step by the beneficiary	The beneficiary considers this step as not achieved.
Commission assessment of results	In line with the Reform Agenda, the following activities should take place in order to achieve this step: *I. Adoption of the Law on Climate Action* The draft law is currently under Government analysis and approval, after having received comments from various Government bodies. The law represents the legal framework that will enable the implementation of the subsequent necessary steps. *II. Restructuring the organisation structure of the MoEPP and provide capacity building activities to carry out implementing obligations*

	The institutional structure is not established within the Ministry of Environment and Physical Planning (MoEPP), despite recommendations of several IPA projects to set up a climate change unit and a Monitoring, Reporting and Verification (MRV) unit within the MoEPP. This new structure would target the monitoring, reporting and verification, while accreditation will not be addressed. No decision has been taken yet in terms of which institution will act as National Accreditation Body. North Macedonia should appoint a competent authority for issuing greenhouse gas permits as well as a national accreditation body. Following the set-up of the institutional and administrative structure, the MoEPP should implement capacity building activities for relevant staff, operators, the private sector and other stakeholders in the MRVA annual cycle. *III. Adoption of the secondary legal acts to fully implement the monitoring and reporting of GHG* Following the adoption of the Law on Climate Action, the MoEPP should develop and adopt the relevant bylaws, as specified in the Reform Agenda, in order to align with the EU acquis. Further, to ensure full implementation of MRVA, operators will have to apply for a Greenhouse Gas permit and submit a draft monitoring plan to the designated competent authority in North Macedonia. The competent authority should conduct the necessary checks, approve the monitoring plans and issue the permits on this basis. **Based on the above, the Commission considers this step as not achieved.**
Checks performed and evidence used in the verification of the step and related findings	No evidence was provided in line with the sources of verification, however the beneficiary has submitted: • The opinion of the Commission for Economic System and Current Economic Policy of the Government of the Republic of North Macedonia of 12 January 2026.
Double funding	Contributions from third parties were identified in support of the achievement of this step. An ongoing IPA project supported the preparation of the Law on Climate Action and the secondary legislation. The Commission will assess whether the degree of such contributions constitute a case of double funding when the step will be reported as fully achieved.
Clear conclusion on the achievement of the step	**Not achieved**. The 'grace period' runs until 31 December 2026.

Reform 2.1.5.1. Implementation of the Energy Performance in Buildings and Energy Efficiency Directives

The step under review	*Three-year Renovation Plan for Central Government Buildings to be adopted aligned with the annual 3% renovation target.*
Baseline	0 (2023) (No plan in place and no renovated public buildings under the Central Government in 2023)
Deadline of the step	June 2025
Conclusion of the review of the step by the beneficiary	The beneficiary considers this step as achieved.
Commission assessment of results	The Renovation Plan for Central Government Buildings 2025-2028 with the annual 3% renovation target was adopted by the Government at its 119th Session held on 14 October 2025. The renovation plan covers 14 central government buildings with a total area of 102,992 m². According to the Plan, the total area of buildings occupied by public sector entities amounts to 885,321 m². Renovating 102,992 m² over a three-year period therefore corresponds to a renovation rate of slightly over 3% per year of the total public building stock. The buildings included in the plan are classified into three categories: *poor*, *good*, and *excellent* condition. Depending on the condition of each building, the Plan proposes a set of energy efficiency measures. These measures are expected to deliver cumulative energy savings of 32.8%, with higher savings anticipated for buildings in poor condition. The Plan also provides a high-level cost estimate for refurbishment, indicating an average investment payback period of 16 years, with longer payback periods for buildings in poor condition. The Reform Agenda required the establishment of a dedicated Project Implementation Unit (PIU) to administer and coordinate the implementation of the reform, ensuring operational capacity, clear responsibility, and effective oversight of the planned activities. The authorities have initiated the institutional arrangements foreseen under the Reform Agenda: at its 137th session on 16 December 2025, the Government requested the relevant institutions to nominate responsible persons and to establish a Supervisory Board that will oversee the implementation of the Plan. However, the PIU has not yet been formally set up, and there is no confirmation that the Supervisory Board has become operational.

	Whilst this constitutes a **minimal substantive deviation** from the requirement of the Reform Agenda, the reform objective of ensuring institutional responsibility and oversight is nevertheless being pursued through the nomination of responsible persons within the relevant institutions and the planned establishment of a Supervisory Board to coordinate and monitor implementation. The delay appears to be of an organisational and procedural nature, linked to the internal designation of staff and the formalisation of the new structures, rather than a change in the policy direction or scope of the reform. As such, this minimal deviation does not change the nature of the measure and does not affect the progress towards achieving the reform that the step represents. **On this basis, it is considered that this constitutive element of the step is achieved.** Regarding financing, the evidence provided suggests that a grant funding request has been made and confirmed under the Partnership for Energy Efficiency in Buildings (PEEB) Cool program Technical Assistance Window, managed by the Agence Française de Développement (AFD), which will provide project preparation and appraisal, will propose a project financing plan and will define a project management organisation and procurement strategy. In conclusion, **the Renovation Plan for Central Government Buildings 2025–2028 was adopted and meets the required annual 3% renovation target,** with clearly defined buildings, measures, and expected energy savings. Although the Project Implementation Unit and Supervisory Board are not yet formally established, the authorities have initiated the necessary institutional arrangements, and the deviation is organisational in nature without affecting the reform's objectives. **On this basis, the Commission considers this step as achieved.**
Checks performed and evidence used in the verification of the step and related findings	In line with the sources of verification, the following evidence was provided: • The three-year Renovation Plan approved by the Government. The beneficiary has additionally submitted: • Minutes from the 119th Government session approving the plan. As part of its assessment, the Commission reviewed all submitted documentation.

Double funding	Contributions from third parties were identified in support of the achievement of this step. The development of the three-year Renovation Plan for Central Government Buildings was supported by the EU-financed project *"Supporting Energy Reforms"*. Namely, it was involved in collecting data on public buildings, coordinating public stakeholders in the data collection process, and in the analysis, selection, and prioritisation of the public buildings to be included in the first three-year renovation plan. The project provided an initial draft of the plan, which was significantly revised by the Ministry of Energy, who led the drafting process. The final document was discussed and agreed with the relevant institutions. On the basis of the Commission's assessment, the degree of such contributions does not constitute a case of double funding, as the support was primarily focused on enhancing expertise, while the beneficiary delivered the main objectives of the step.
Clear conclusion on the achievement of the step	**Fully achieved**.

Reform 2.1.5.1. Implementation of the Energy Performance in Buildings and Energy Efficiency Directives

The step under review	*For consumption-based metering and billing at individual-level, individual meters shall be installed where technically feasible and cost effective in terms of being proportionate in relation to energy savings in line with Directive 2023/955 - All newly constructed buildings.*
Baseline	0 (2018)
Deadline of the step	December 2025
Conclusion of the review of the step by the beneficiary	The beneficiary considers this step as not achieved.
Commission assessment of results	The Ministry of Energy, Mining and Mineral Resources submitted a request for nomination of members of the working group for this step and a request for verification report to "ESM Heat Distribution LLC Skopje". At the request of the Ministry of Energy, the EU-funded project *"Supporting Energy Reforms"* prepared a technical and economic analysis of consumption-based metering and billing at the individual level for district heating in Skopje. The techno-economic analysis shows that, although the construction of internal apartment networks may be technically

	feasible, it is not economically viable. The study confirms that a selective, case-by-case decision-making approach – rather than a mandatory rollout – is the appropriate and compliant approach to individual metering in the existing district-heated building stock. There is no evidence that all newly constructed buildings until December 2025 have individual meters installed where technically feasible and cost effective. **On this basis, the Commission considers this step as not achieved.**
Checks performed and evidence used in the verification of the step and related findings	No evidence was provided in line with the sources of verification, however the beneficiary has submitted: • Request for nomination of working group members for this step. • Request for verification report to "ESM Heat Distribution LLC Skopje".
Double funding	Contributions from third parties were identified in support of the achievement of this step. The EU-funded project *"Supporting Energy Reforms"* assisted the Ministry of Energy in the preparatory work. The Commission will assess whether the degree of such contributions constitute a case of double funding when the step will be reported as fully achieved.
Clear conclusion on the achievement of the step	**Not achieved**. The 'grace period' runs until 31 December 2026.

Reform 2.2.2.1. Secure Digital infrastructures roll-out

The step under review	*Adoption of the new Law on Electronic Communications, alignment of national legislation with the relevant EU Acquis to align it with the EU Acquis and the Gigabit Infrastructure Act, upon entry in force in EU.*
Baseline	0 (2024) (Law not adopted)
Deadline of the step	June 2025
Conclusion of the review of the step by the beneficiary	The beneficiary considers this step as achieved.
Commission assessment of results	Following the Commission's initial review of the legislation, noting significant harmonisation gaps, the national authorities drafted new amendments to the Law on Electronic

	Communications, which were adopted on 29 December 2025 (*Official Gazette No. 269*). Corresponding amendments were also adopted to the Law on Construction to ensure harmonisation with several provisions of the EU Gigabit Infrastructure Act (GIA). In line with the Reform Agenda, the amendments to the Law on Electronic Communications aim to align national legislation with the relevant EU acquis, namely two key EU legal acts: Directive (EU) 2018/1972 establishing the European Electronic Communications Code (EECC) and Regulation (EU) 2024/1309 establishing the Gigabit Infrastructure Act (GIA). For the purposes of this step, alignment at the level of primary legislation is considered sufficient. The law provides for a 15-month deadline for the adoption of implementing bylaws, reflecting the technically demanding nature of its implementation. Consequently, the adoption of bylaws, the establishment of institutional capacities and any additional implementation requirements are not foreseen under the current step, which focuses exclusively on the alignment of primary legislation. Compliance with secondary legislation will be assessed under the conditionality of subsequent steps within the reform area. Prior to law adoption, draft amendments addressing the feedback from the Commission were shared by the national authorities for further assessment in November 2025. The Commission's review of the legislation concerned both the draft amendments and final adopted legislation, noting that alignment has been partially achieved. On the GIA Regulation and the Law on Construction adopted in December 2025, the Commission considers that full alignment with the GIA has not been achieved yet, as some harmonisation gaps remain regarding key provisions of GIA. The Law on Construction demonstrates a clear intention to align with Articles 7, 8 and 9 of the GIA Regulation. In addition, the Law on Electronic Communications continues to include provisions on the financing of the Operational and Technical Agency (OTA), even though the European Commission raised concerns in this regard. North Macedonia considers that the financing provisions, as stipulated in the Law, do not contradict Article 16 of the EECC by further emphasising its regulatory and supervisory functions as an "other competent authority" to which the funds are intended exclusively. In principle, the Commission accepts that certain activities of OTA may be funded by administrative charges imposed on individual undertakings,

	provided these charges are objective, transparent and proportionate. This includes the activities aimed at: - *Establishing and enforcing regulatory obligations for operators concerning lawful interception interfaces and mediation systems;* - *Exercising professional surveillance over telecommunications operators to ensure compliance with statutory lawful interception and data-protection requirements;* - *Managing and maintaining mediation infrastructure that was previously the direct responsibility of operators, thus ensuring secure and standardised implementation of interception obligations; and* - *Cooperating with the NRA/AEC on harmonisation and compliance reporting.* However, transparency must be ensured through annual reporting, and any discrepancy between the charges collected and the actual administrative costs must be corrected through appropriate adjustments, as detailed in Article 16 EECC. In case OTA carries out other activities not covered by the EECC authorisation regime, these should be funded from alternative sources. **On this basis, the Commission considers this step as not achieved.** The Law on Electronic Communications and the Law on Construction should be amended to further align with the relevant EU acquis and the above recommendations.
Checks performed and evidence used in the verification of the step and related findings	In line with the sources of verification, the following evidence was provided: • The adopted Law on Electronic Communications (*Official Gazette of Republic of North Macedonia No. 269, 31 December 2025*), accompanied by the Tables of Concordance. • The Regulatory Impact Assessment (RIA). The beneficiary has additionally submitted: • Legal opinion from the Secretariat for Legislation. • Statements of compliance. • Analysis of the national legal framework and gap analyses that informed the drafting process.

	As part of its assessment, the Commission reviewed all submitted documentation.
Double funding	Contributions from third parties were identified in support of the achievement of this step. The Ministry of Digital Transformation received support from Deutsche Gesellschaft für Internationale Zusammenarbeit (GIZ) for the preparation of the following technical-level documents: (1) an analysis of the legal framework for electronic communications in the context of the new EU legal acts; (2) a gap analysis of alignment with the EECC; and (3) a gap analysis of alignment with the GIA. On the basis of the Commission's assessment, the degree of such contributions does not constitute a case of double funding, as the support was primarily focused on the preparatory work to inform the drafting of the new law and on enhancing expertise, while the beneficiary delivered the main objectives of the step.
Clear conclusion on the achievement of the step	**Not achieved**. The 'grace period' runs until 30 June 2026.

Reform 2.2.2.2. Digital Public Services

The step under review	*Join the EU Third Countries trusted list for the validation of electronic signatures as advanced electronic in the EU as a first step towards pursuing mutual recognition of qualified trust services; Trust services available and start issuing qualified certificates; Ensure implementation e-identity and e-signature services for citizens and businesses.*
Baseline	0 (2024)
Deadline of the step	December 2025
Conclusion of the review of the step by the beneficiary	The beneficiary considers this step as achieved.
Commission assessment of results	The step comprises two sequential sub-requirements: *I. Trust services available and start issuing qualified certificates; Ensure implementation e-identity and e-signature services for citizens and businesses.* The legal framework on eIDAS 1 was first introduced in 2019 (*Official Gazette No. 101/19*) and amended in the June 2025 (*Official Gazette No. 135/25*) with the eIDAS 2 provisions, in line with the Regulation (EU) No 910/2014 (eIDAS 1) and the revised EU Digital Identity framework. The legal framework on electronic

	signatures was further complemented by the relevant bylaws, adopted in 2020: the Rulebook setting the standards for electronic signatures and electronic seals, and the Methodology for accreditation of the compliance assessment bodies, based on e-IDAS 1 directive. Based on the 2019 legal framework (eIDAS 1 framework), two trust services providers were accredited in 2021: Telekom and KIBS, with their accreditations obtained in two EU member states: Slovenia and the Czech Republic, respectively. Currently, there are two trust service providers registered in the Register of Trust Service Providers that provide advanced and qualified electronic signature services, which are certified and audited by conformity assessment bodies accredited in the EU. The procedure for registering the third trust service provider is ongoing. *II. Join the EU Third Countries trusted list for the validation of electronic signatures.* The EU's Third Countries List for the validation of electronic signatures is available at: https://eidas.ec.europa.eu/efda/trust-services/browse/tc-tlsb. North Macedonia reports to have completed all preparatory activities for inclusion in the trusted list, including the assessment of two national trust service providers of electronic signatures. The Ministry of Digital Transformation reviewed the certificates confirming that the national providers – KIBS and Makedonski Telekom – comply with EU legal, technical, and security requirements for qualified trust services. It reviewed the decisions for their registration as qualified trust service providers and applied the checklists used for assessing the issuance of qualified electronic signature certificates. Additionally, the Ministry performed supervisory inspections of both trust services providers. Therefore, on 30 October 2025 the beneficiary submitted an official request for inclusion of the Republic of North Macedonia in the EU Third Countries Trusted List. Initial contacts related to the preliminary assessment have been established, but the process has not been completed yet. To achieve this step, North Macedonia will need to finalise its self-assessment using the Commission's standardised checklist, publish its national Trusted List in the required technical format with the necessary EU-specified extensions, and share with the Commission the information requested (namely, a signed version of the national trusted list and a signing certificate). Afterwards, the Commission will perform a review of this assessment and

	propose to close the gaps that might be identified. Once the gaps are closed, North Macedonia can be added to the List. **On this basis, the Commission considers the step as not achieved.**
Checks performed and evidence used in the verification of the step and related findings	In line with the sources of verification, the following evidence was provided: • Register of Schemes for Electronic Identification and Trust Services, maintained by the Ministry of Digital Transformation (https://trusteid.mdt.gov.mk/). • Information on the Government session with a Report on the Verification of the Registered Trust Service Providers and Issuers of Electronic Identification Schemes in the Register of Trust Service Providers and Electronic Identification Schemes. • Information on the Government session with a Report on the Registered Qualified Trust Services in the Register of Electronic Identification Schemes and Trust Services. The beneficiary has additionally submitted: • An official letter submitted to the European Commission expressing the intention of the Republic of North Macedonia to join the EU Third Countries Trusted List (https://trusteid.mdt.gov.mk/). • Attestation of conformity of qualified trust service provider Clearing House KIBS AD Skopje (KIBS), demonstrating compliance with the applicable legal, technical and security requirements for the provision of qualified trust services. (electronic signatures, electronic seals and time stamps), issued by conformity assessment bodies accredited in the EU. • Attestation of conformity of the qualified trust service provider Makedonski Telekom AD Skopje, demonstrating compliance with the applicable legal, technical and security requirements for the provision of qualified trust services (electronic signatures, electronic seals and time stamps), issued by conformity assessment bodies accredited in the EU. • Decision on the registration of a provider of qualified trust services in the register of trust services and electronic identification schemes for Makedonski Telekom. • Decision on the registration of a provider of qualified trust services in the register of trust services and electronic identification schemes for Clearing House KIBS AD Skopje (KIBS).

	• Checklist for assessment of Qualified trust service for the issuance of qualified certificates for electronic signatures, relating to the issuance of qualified certificates for qualified electronic signatures. • Minutes of the supervision conducted on a trust service provider KIBS. • Minutes of the supervision conducted on a trust service provider Makedonski Telekom. • Authorisation for conducting supervision of the Qualified trust service providers. • Rulebook on setting the standards which should be contained in the qualified certificates for electronic signature and electronic seal, the meeting of the technical standards, the method of generating qualified electronic signatures or qualified electronic seals, the standards which should be contained in the certificates for validation of qualified electronic signature or qualified electronic seal and the standards which should be met by the qualified confidential service for storage of qualified electronic signatures or qualified electronic seals. • Methodology for accreditation of the compliance assessment bodies and laboratories for testing of the means. • Law on Electronic Documents, Electronic Identification and Trust Services (*Official Gazette of the Republic of North Macedonia No. 101/19, 275/19, 3/25 and 135/25*). • Law on Electronic Governance and Electronic Services (*Official Gazette of the Republic of North Macedonia No. 98/19, 244/19 and 3/25*). • Law on the Central Population Register (*Official Gazette of the Republic of North Macedonia No. 98/19, 275/19 and 3/25*). As part of its assessment, the Commission reviewed all submitted documentation.
Double funding	No contributions from third parties were identified or reported in support of the achievement of this step.
Clear conclusion on the achievement of the step	**Not achieved.** The ‘grace period’ runs until 31 December 2026.

Reform 3.1.3. Improve and ensure the quality of secondary and higher education

The step under review	*Implementation of new financing methodology in secondary and VET education applied when preparing the national budget of 2027*
Baseline	0 (2024)
Deadline of the step	December 2026
Conclusion of the review of the step by the beneficiary	The beneficiary considers this step as achieved.
Commission assessment of results	**The New Decree on the Methodology for Determining the Criteria for the Distribution of the Block Grant for Secondary Education to Municipalities and the City of Skopje was adopted by the Government on 29 July 2025** (*Official Gazette No. 159*), establishing the legal basis for a new funding formula for secondary education and vocational education and training (VET). Two technical documents informed the drafting process: (i) Recommendations for adjusting the proposal formula for financing secondary education, and (ii) Analysis for financing of the secondary education with focus on the vocational secondary education and introducing finance-based performance. Both documents were developed with support from Helvetas and the adopted Decree reflects these inputs and recommendations. The new funding formula includes basic, variable, adjustment and development components, each tailored to factors like student enrolment, school type, specific needs (e.g. special education and language instruction), and school performance. It aims to improve resource allocation, ensuring fair, transparent, and efficient funds distribution to municipalities, according to the following principles: • Cost-based allocation, whereby funding is calculated per student, with emphasise on the real costs for education. • Smaller municipalities and vulnerable groups, including children with disabilities, are prioritised to reduce educational disparities and promote equity. • Performance-based incentives, whereby schools receive additional funding based on measurable improvements. • Transparency in funding, as the formula clarifies how funds are allocated. • Municipalities and schools gain greater autonomy in managing education budgets, allowing for locally tailored decisions and supporting fiscal decentralisation. • Sector-specific differentiation, where funding varies by vocational sector to address the unique costs of specialised

	education, especially relevant in vocation education and training (VET) and dual education. In line with the objective of the step and to demonstrate formula applicability, funds are to be secured from the state budget. Accordingly, the **Law on the Budget for 2026 and the Law on Budget Execution adopted on 10 December 2025** (*Official Gazette No. 253*) **confirm the allocation of MKD 6,988,350,000.00** (EUR 113.4 million) **for secondary education block grants**. The allocation is largely consistent with the initial funding projections of MKD 7,009,356,799.00 recommended within the Working Group. Similarly, within the total envelope, sub-allocations to municipalities are largely consistent with their initial projections, demonstrating accurate and data-driven distribution. A letter from the Ministry of Education and Science to municipalities, dated 23 December 2025, communicated the decision, providing clear guidelines for fund distribution. Going forward, the implementation of the funding formula will be supported by the new Education Management Information System (EMIS, also known as EUSARU), which was enhanced with a dedicated module for allocating financing to both primary and secondary education by municipality. The system would enable structured data collection from schools, automated calculation of formula components, identification of data gaps, and export of allocation tables by municipality and school, thereby supplying the information needed for future application of the formula and distribution of funds in future budgetary exercises. The first year of implementation would serve as a trial period, with adjustments of allocations expected in subsequent years based on feedback and performance data. The Commission considers this flexible approach as a positive element that would allow for continuous improvement and refinement of the funding formula. Furthermore, between November 2025 and January 2026, municipalities were trained to use the system effectively, ensuring that they can accurately report and manage their funding allocations. Guidelines for the usage of the tool were provided for this purpose. **Based on the above, the Commission considers this step as achieved.** Under the Reform Agenda, the step was foreseen to be implemented by December 2026 in reference to the "*national budget of 2027*". The beneficiary reported on its achievement anticipatedly in the request for the release of funds submitted on 15 January 2026. In view of this, the beneficiary should ensure the new funding methodology is properly applied in the 2027 State Budget. The beneficiary is expected to report on the continuous fulfilment of the step in the request for the release of funds to be

	submitted by 15 January 2027, demonstrating the irreversibility of the reform. The Commission will monitor the implementation of the step once the 2027 State Budget is adopted, and, if necessary, may consider further measures in light of Article 17(4) of the Facility Agreement between the EU and the Republic of North Macedonia.
Checks performed and evidence used in the verification of the step and related findings	In line with the sources of verification, the following evidence was provided: • Decree on the Methodology for Determining the Criteria for the Distribution of the Block Grant for Secondary Education to Municipalities and the City of Skopje (*Official Gazette No. 159, 4 August 2025*). • Law on the Budget for 2026 and the Law on Budget Execution (*Official Gazette No. 253, 17 December 2025*). The beneficiary has additionally submitted: • Simulations of allocations of block grants to municipalities prepared by the Swiss Agency for Development and Cooperation (Helvetas). • Letter from the Ministry of Education and Science to municipalities and the City of Skopje on the grant allocations from the State budget. • Letter from the Ministry of Education and Science to the Ministry of Finance on the grant allocations per municipality from the State budget. • Agenda of the training for employees of municipalities on 27-28 January 2026. • Screenshot from the EMIS system module allowing data collection per school and per municipalities. As part of this assessment, the Commission reviewed above mentioned documentation. In addition, it also consulted the World Bank, Helvetas, and UNICEF to further complement its assessment with additional information.
Double funding	Contributions from third parties were reported in support of the achievement of this step. The World Bank, UNICEF and Helvetas supported the achievement of this step by providing technical assistance and capacity building to the working group for the elaboration of the new methodology of the funding formula for secondary education, preparing projections and simulations of allocations to the municipalities. Budgetary allocations to municipalities come exclusively from the State budget. Guidelines for the usage of the tool were prepared by Helvetas. On the basis of the Commission's assessment, the degree of such contributions

	does not constitute a case of double funding, as the support was primarily focused on facilitating expertise, while the beneficiary delivered the main objectives of the step, including budgetary allocation.
Clear conclusion on the achievement of the step	**Fully achieved.**

Reform 3.1.5. Increase the efficiency through rationalisation of the primary school network and establish "smart" primary schools with IT tools and Internet infrastructure also ensuring their operability ("Smart" as in integrating digital technologies in teaching and school management, including communication with families, distance interactive learning)

The step under review	*Implementation of new financing methodology in primary education applied when preparing the national budget of 2026.*
Baseline	0 (2024)
Deadline of the step	December 2025
Conclusion of the review of the step by the beneficiary	The beneficiary considers this step as achieved.
Commission assessment of results	**The New Decree on the Methodology for Determining the Criteria for the Distribution of the Block Grant for Primary Education by Municipalities for 2026 was adopted by the Government on 29 July 2025** (*Official Gazette No. 159*), establishing the legal basis for the new funding formula for primary education. Two technical legal acts, previously adopted by the Government, informed the drafting process: (i) the Concept for Primary Education (adopted in 2020, amended in 2021), aiming to improve the quality of primary education; (ii) "The New Norms and Standards for School Premises, Equipment and Teaching Aids for Primary Schools in the Republic of North Macedonia", which stipulates the number of students per class, number of teachers per students, availability of other education professionals, etc. Additionally, a detailed analysis on teachers in primary education from December 2024, prepared by UNICEF, was considered. The adopted Decree on the new methodology for primary education reflects these inputs and recommendations. The new funding formula includes basic, variable, adjustment and development components, each tailored to factors like student enrolment, school type, specific needs (e.g. special education and language instruction), and school performance. It aims to improve resource allocation, ensuring fair, transparent, and efficient funds

	distribution to municipalities, according to the following principles: • Cost-based allocation, whereby funding is calculated per student, with emphasize on the real costs for education. • Smaller municipalities and vulnerable groups, including children with disabilities, are prioritised to reduce educational disparities and promote equity. • Performance-based incentives, whereby schools receive additional funding based on measurable improvements. • Transparency in funding, as the formula clarifies how funds are allocated. • Municipalities and schools gain greater autonomy in managing education budgets, allowing for locally tailored decisions and supporting fiscal decentralisation. In line with the objective of the step and to demonstrate formula applicability, funds are to be secured from the state budget. Accordingly, the **Law on the Budget for 2026 and the Law on Budget Execution adopted on 10 December 2025** (*Official Gazette No. 253*) **confirm the allocation of MKD 18,581,901,000.00** (EUR 301 million) **for primary education block grants**. This exceeds the target of MKD 17,300,000,000.00 specified in the Reform Agenda and reflects the projections prepared by the World Bank. Similarly, within the total envelope, sub-allocations to municipalities are largely consistent with their initial projections, demonstrating accurate and data-driven distribution. A letter from the Ministry of Education and Science to municipalities, dated 22 December 2025, communicated the decision, providing clear guidelines for fund distribution. Going forward, the implementation of the funding formula will be supported by the new Education Management Information System (EMIS, also known as EUSARU), which was enhanced with a dedicated module for financing primary education by municipalities. This system would enable structured data collection from schools, automated calculation of formula components, identification of data gaps, and export of allocation tables by municipality and school. The first year of implementation would serve as a trial period, with adjustments of allocations expected in 2026 and subsequent years to allow municipalities gradually adopting the new methodology. The Commission considers this flexible approach would allow for continuous improvement and refinement of the funding formula based on the process of optimisation of the school network. Furthermore, extensive training and capacity-building initiatives were undertaken for the Primary Education Department within the

	Ministry of Education and Science (MoES) and representatives of municipalities between September 2025 and January 2026, while school management will be trained in February 2026. In addition, a practical guide for applying the new methodology was developed. **Based on the above, the Commission considers this step as achieved.**
Checks performed and evidence used in the verification of the step and related findings	In line with the sources of verification, the following evidence was provided: • Decree on the Methodology for Determining the Criteria for the Distribution of the Block Grant for Primary Education by Municipality (*Official Gazette No. 159, 4 August 2025*). • Law on the Budget for 2026 and the Law on Budget Execution (*Official Gazette No. 253, 17 December 2025*). The beneficiary additionally submitted: • Analysis for teachers in primary education (prepared and presented by UNICEF, 24 December 2024). • Calculation of block grants for primary education according to the proposed formula 2026-2030. • Letter from the Government (Secretariat for Legislation) to Ministry of Education and Science on the interservice consultation on the draft methodology for the new funding formula for primary education 2026. • Letter by the Committee for the Development of Municipal Funding providing a positive opinion for the adoption of the new methodology. • Letter from Ministry of Education and Science to the Ministry of Finance on grant allocations from the State budget per municipalities. • Letter from Ministry of Education and Science to Municipalities on grant allocations from the State budget per municipalities (to the letter showing distribution of block grants between municipalities). • Agenda of trainings for municipal administrations. • Agenda of the training for employees of the MoES Primary Education Sector in September 2025. • Calendar of the training for school leaders in February 2026. • Agenda of the training for school leaders and secretaries on 3 February 2026. • Simulations of allocations of block grants to municipalities prepared by the World Bank and UNICEF.

	• Screenshot from the EMIS system module allowing data collection per school and per municipalities. As part of this assessment, the Commission reviewed above mentioned documentation. In addition, it also consulted the World Bank and UNICEF to further complement its assessment with additional information.
Double funding	Contributions from third parties were reported in support of the achievement of this step. The World Bank and UNICEF supported the achievement of this step by providing technical assistance and capacity building to the working group for the elaboration of the new methodology of the funding formula for primary education, preparing projections and simulations of allocations to the municipalities. Budgetary allocations to municipalities come exclusively from the State budget. On the basis of the Commission's assessment, the degree of such contributions does not constitute a case of double funding, as the support was primarily focused on facilitating expertise, while the beneficiary delivered the main objectives of the step, including budgetary allocation.
Clear conclusion on the achievement of the step	**Fully achieved**.

Reform 3.1.5. Increase the efficiency through rationalisation of the primary school network and establish "smart" primary schools with IT tools and Internet infrastructure also ensuring their operability ("Smart" as in integrating digital technologies in teaching and school management, including communication with families, distance interactive learning)

The step under review	*Number of primary schools equipped with Internet access and IT tools: 160 schools [number/share of primary schools concerned; number of pupils and teachers covered: 44% of schools]*
Baseline	40 primary schools (11% of schools), i.e., 24.000 students and 3.120 teachers (2023)
Deadline of the step	December 2025
Conclusion of the review of the step by the beneficiary	The beneficiary considers this step as achieved.
Commission assessment of results	To implement the step, the Ministry of Education and Science (MoES) was required to identify funding resources and conduct procurement to equip 160 primary schools. In the baseline year (2023), 40 primary schools were already equipped, while by the

	end of the target year (2025), the cumulative number was required to meet 160. Although the Ministry reported completion for 166 schools, the Commission's review revealed two schools were recorded twice due to additional contracts, resulting in duplicated entries. After removing duplicates, the total number of unique schools equipped is 164, which meets the step target of 160. The schools were financed through two sources: a World Bank loan and the state budget, therefore they followed two separate procurement processes. Accordingly, procurement and deployment procedures have been completed. *I. Funding, procurement and deployment through the World Bank Loan* The loan agreement, titled 'Primary Education Improvement Project' (PEIP), No. 9182-MK, was signed between North Macedonia and the International Bank for Reconstruction and Development (EBRD, a legal entity within the World Bank Group) on 20 April 2021. The initial end date was 27 February 2026 and was later extended to 25 February 2027. The project aims to improve primary education conditions, with funds allocated for IT and network infrastructure in schools. Selection criteria were based on student numbers and enrolment capacity. The total loan amount is EUR 21.5 million, with a grant component for schools under the loan, constituting EUR 941,600.00, which entails a maximum grant per school of MKD 600,000.00 (EUR 9,756). Procurement procedures were conducted for IT and network infrastructure. The schools funded under the World Bank loan were composed of five batches: - 40 schools (2023) - *Reform Agenda baseline* - 35 schools (2024) - 4 schools (2024) - 20 schools (2025) - 7 schools (2025) World Bank's project completion reports, supplier contracts, invoices and delivery notes of infrastructure confirm successful deployment. *II. Funding, procurement and deployment through the state budget and national procedures* Schools funded under the state budget (Ministry of Education and Science budget) were composed of two batches: - 38 schools (2025) - 22 schools (2025)

	Procurement procedures were conducted for IT and network infrastructure, resulting in four contracts with different contractors (one for 22 schools; and three for 38 schools, each contract for one lot). For both modalities, World Bank loan and national funding, the Commission sampled 20 schools for documentation checks (10 from each group). The sample was based on geographical and municipal size criteria. Four schools from the second funding group (national funds) were also visited on-site by an EU-contracted IT expert: • Aerodrom - Gjorgjija Pulevski primary school. • Kumanovo - Kocho Racin primary school. • Shuto Orizari - Brakja Ramiz Hamid primary school. • Tetovo – Lirija primary school. The results of the checks were positive. For the World Bank loan (10 schools), the following documentation was verified through desk-review: delivery notes and Records for Completed Installation (RCI), photographic evidence was provided per school. For the state-funded sample (10 schools), both through desk-review and the deployed IT expert on the field confirmed the accuracy of the reported information. Documentation such as delivery notes, RCIs, invoices and photographic evidence was provided per school. The selected four schools underwent on-site checks between 18 and 20 February 2026, and the IT expert reported that the listed equipment was delivered and installed, and it is fully operational according to the requirements. In addition, the delivered equipment meets the technical specifications, is in satisfactory condition, and is used by the schools as intended. **Based on the above, the Commission considers this step as achieved.**
Checks performed and evidence used in the verification of the step and related findings	In line with the sources of verification, the following evidence was provided: For schools funded via the World Bank loan: • Loan agreement with the World Bank. • Four completion reports. • Delivery note and Record for Completed Installation (RCI) per school. • Pictures per school. For schools funded by the MoES:

	• Tender documentation with technical specifications (signed copies) for both batches (22 + 38 schools). • Decision on selection of the bid (signed copies) for both batches (22 + 38 schools). • Contracts with providers and deployers of IT equipment/network (signed originals) for both batches (22 + 38 schools). • Invoices by providers and deployers of IT equipment/network per school. • Contact details of school leaders/IT points of contact for possible on-site checks per school. As part of this assessment, the Commission reviewed all the submitted documentation. In addition, it engaged an expert to perform on-the-spot checks of the relevant evidence for a sample of schools.
Double funding	Contributions from third parties were reported in support of the achievement of this step. The World Bank provided a loan to the Government in line with the loan agreement, titled 'Primary Education Improvement Project' (PEIP), No. 9182-MK signed between North Macedonia and the International Bank for Reconstruction and Development on 20 April 2021. The initial end date was 27 February 2026, later extended to 25 February 2027. The total loan amount is EUR 21.5 million. It includes a grant component constituting EUR 941,600.00, with maximum allowed grant per school, MKD 600,000.00 (EUR 9,756.00). Schools applied for grants and purchased IT equipment following procurement procedures. The grant modality applies only to schools, for the Government of North Macedonia, it is still considered an integral part of World Bank borrowing. On the basis of the Commission's assessment, the degree of such contributions does not constitute a case of double funding, as the support is in the form of a loan, and the grant modality applying to the schools is a component within the loan.
Clear conclusion on the achievement of the step	**Fully achieved**.

Reform 4.1.1 Address the informal economy in support of the recently adopted Strategy for Formalization of the Informal Economy

The step under review	*100 administrative procedures are mapped, selected on the principle of frequency, relevance, in regard to operating a SME*

	and at least 50% of measures have their step, times of procedure and required documentation reduced by half.
Baseline	0 (2024)
Deadline of the step	December 2025
Conclusion of the review of the step by the beneficiary	The beneficiary considers this step as not achieved.
Commission assessment of results	In line with the Reform Agenda, the step comprises two sub-requirements: *I. 100 administrative procedures are mapped and selected based on frequency, relevance and impact on SME operations.* Mapping is to be carried out on the basis of pre-defined selection criteria, namely relevance, justification, frequency, impact on SME operations, with the objective of identifying procedures those most frequently used by SMEs and which constitute a burden in terms of required documentation and the time needed to undergo the procedure. A plan to implement the step was adopted by the Government in November 2025, establishing that the Law on General Administrative Procedure (ZOUP), namely Article 4, will serve as the basis for the mapping. This will be based on the frequency, relevance, and procedures that apply to legal entities regardless of the activity they perform. The Ministry of Economy and Labour established a Working Group which compiled a list of 247 administrative procedures and shared it with the Chambers of Commerce for review and identification. This process led the Working Group to identify 167 procedures, of which 57 were selected to date. The remaining 43 required to reach the target of 100 are pending confirmation. *II. At least 50% of the selected administrative procedures are reduced in terms of steps, times and required documentation.* The selected 100 administrative procedures are to be analysed in terms of relevance, justification, steps and documentation needed, fee for service, involved institutions, and completion time. Consequently, simplification will occur for at least 50 of them, in particular with steps, time and required documentation cut by half. Accordingly, the Ministry of Economy and Labour has prepared an Administrative Procedure Specification Form, to be filled with the following data: planned steps, procedure duration, required documents, possibilities for shortening the steps, duration and documentation, information on the price and costs. Once the selection of the 100 administrative procedures is finalised, the

	form will be circulated to members of the Working Group. On this basis, the analysis of potential simplifications and subsequent enforcement will take place, in line with a methodology for optimisation of administrative procedures to be developed by the Ministry of Digital Transformation. Although progress has been made in mapping administrative procedures, the final list of 100 has not been confirmed. The methodology for optimisation remains to be finalised and applied to the selected procedures. **Based on the above, the Commission considers the step as not achieved.**
Checks performed and evidence used in the verification of the step and related findings	In line with the sources of verification, the following evidence was provided: • Information on the process of identifying 100 administrative procedures, with an attached Implementation Plan and a Form for the specification of an administrative procedure, adopted by the Government on 4 November 2025: *https://portal.mdt.gov.mk/post-records/124-ta-sednica-na-vladata-record-mk.pdf* The beneficiary has additionally submitted: • Official Letter sent to twelve public institutions, with attached list of services within their jurisdiction, dated 15 October 2025. • Official Letter sent to three Chambers of Commerce with the attached list of administrative procedures selected by the public institutions, dated 28 November 2025. • Decision for establishing a Working Group on the implementation of the step and minutes of their meetings. • List of 167 administrative procedures identified by the Working Group. • Form for the specification of an administrative procedure.
Double funding	Contributions from third parties were identified in support of the achievement of this step. The Working Group is preparing the optimization methodology based on a previous approach supported under IPA 2019 assistance. The Commission will assess whether the degree of such contributions constitute a case of double funding when the step will be reported as fully achieved.
Clear conclusion on the achievement of the step	**Not achieved**. The 'grace period' runs until 31 December 2026.

Reform 4.1.1 Address the informal economy in support of the recently adopted Strategy for Formalization of the Informal Economy

The step under review	*Number of non-formal employed in the total number of employed, as per the State Statistical Office, is reduced by 20%*
Baseline	12.2% (2022)
Deadline of the step	December 2025
Conclusion of the review of the step by the beneficiary	The beneficiary considers this step as not achieved.
Commission assessment of results	In line with the Reform Agenda, the step comprises two sub-requirements: *I. Adoption of a Law (lex specialis) regulating work engagement of seasonal, occasional and temporary nature, and its bylaws, and deployment of a supporting IT solution for the Public Revenue Office.* The Law regulating work engagement of seasonal, occasional and temporary nature for certain activities was prepared by the Working Group within the Ministry of Economy and Labour, with representatives from relevant institutions and was adopted by the Parliament in May 2025 (*Official Gazette No. 104/25*). The aim of the Law is to introduce a simplified procedure for registration, deregistration, taxation and payment of mandatory social contributions of workers, which would formalize their work in the identified sectors and ensure a lower administrative burden for employers or workers. The law will be implemented through secondary legislation: of the four bylaws foreseen, one concerning misdemeanour payment order was adopted. An upgrade of the existing software of the Employment Service Agency was deployed for the purposes of implementing the Law facilitating the registration and deregistration of work engagement (https://e-rabota.av.gov.mk/). To ensure synergies, the Public Revenue Office has upgraded its internal electronic procedures for the purpose of taxation and payment of statutory contributions. *II. Number of non-formal employed in the total number of employed, as per the State Statistical Office, is reduced by 20%* Official data from the State Statical Office for the year 2024 shows that informal employment stands at 12.252%, largely unchanged from the Reform Agenda baseline of 12.2% (2022). Data for 2025 was not available. The phenomenon was largely unaffected, and

	measures to combat it, such as the law and software upgrade, were introduced late in the process. **Based on the above, the Commission considers this step as not achieved.**
Checks performed and evidence used in the verification of the step and related findings	In line with the sources of verification, the following evidence was provided: • Law regulating work engagement of seasonal, occasional and temporary nature for certain activities (*Official Gazette of Republic of North Macedonia No. 104/25, 26 May 2025*). • State Statistical Office data on non-formal employment available at: https://makstat.stat.gov.mk/PXWeb/pxweb/en/MakStat/MakStat__PazarNaTrud__PazarTrudRevizija__AktivnoNaselenie__Vraboteni/096_PazTrud_Mk_Formal_ml.px. The beneficiary has additionally submitted: • Rulebook on the form and content of the misdemeanour payment order (*Official Gazette of Republic of North Macedonia No. 12/26, 23 January 2026*). • Proof of upgrade of the existing software of the Employment Service Agency (https://e-rabota.av.gov.mk/).
Double funding	Contributions from third parties were identified in support of the achievement of this step. The Deutsche Gesellschaft für Internationale Zusammenarbeit (GIZ) provided support to develop the software upgrade within the Employment Service Agency. The Commission will assess whether the degree of such contributions constitute a case of double funding when the step will be reported as fully achieved.
Clear conclusion on the achievement of the step	**Not achieved**. The 'grace period' runs until 31 December 2026.

Reform 4.1.2. Make the state aid regime more transparent and efficient

The step under review	*According to training needs, a sufficient number of Judges are specialised via training modules in the CPC procedure and the EU acquis in order to increase the expertise on State Aid in the Courts. An extensive training module on State aid rules in the EU covering substantially the EU acquis including key case-law*

	provided by a trainer with significant experience and expertise in this area.
Baseline	0 (2024)
Deadline of the step	December 2025
Conclusion of the review of the step by the beneficiary	The beneficiary considers this step as achieved.
Commission assessment of results	The step's objective is to ensure that a sufficient number of judges are trained and specialised trough a dedicated module covering both the Commission for Protection of Competition (CPC) state aid procedures and the EU acquis, thereby strengthening expertise in this area within the courts. This measure was identified to respond to the limited capacity and familiarity with state aid schemes, particularly within the administrative courts, which are crucial given their role in assessing CPC decisions and opinions, and in light of CPC's increased responsibilities and expanded scope of work. Accordingly, on 24-26 November 2025, the Commission for Protection of Competition organized a two-day training for judges on the CPC procedures and on the EU acquis. The training took place at the Academy for Judges and Public Prosecutors. At least 6 judges, mainly from the basic and administrative courts, participated in the training, meeting the target set in the Reform Agenda. Additional court staff and representatives from the Ministry of Justice and the CPC also attended. The module was designed to provide extensive training on all aspects of state aid and its treatment from both the national and the EU legislation level. In the introductory part, the trainees were given insights from a state aid case handler at the European Commission and an EU law university professor, discussing how companies benefit from state aid and public resources. In a second panel, a World Bank economist addressed whether measures taken by public companies qualify as state aid and if all interventions by public authorities in the economy confer an advantage. The working segment of the training was divided in three parts: (1) Introduction and definition of the concept of state aid and criteria for determining whether a measure constitutes aid. (2) Procedures in state aid cases according to the domestic Law on State Aid Control and presentation of typical cases (individual aid and state aid scheme).

	(3) Case law comparison, EU versus domestic legislation. At the end of the exercise, the participants worked on a hypothetical state aid procedure trying to resolve it based on what they had learned during the training. The session was moderated by the Head of State aid at the CPC and by the other speakers. State aid training is expected to become a regular component of the Academy for Judges and Prosecutors curriculum. As shown in the Academy's 2026 training catalogue, the module is scheduled to be repeated on 19-20 October 2026. **Based on the above, the Commission considers this step as achieved.**
Checks performed and evidence used in the verification of the step and related findings	In line with the sources of verification, the following evidence was provided: • Report from the Commission for Protection of Competition. • Report from the Ministry of Economy and Labour. The beneficiary has additionally submitted: • List of judges who attended the training. • Materials used for the training (PowerPoint presentations). • Training module Agenda, illustrating the different sessions. • List of trainers and participants from related institutions (Ministry of Justice, Public Prosecutors Office). • Photo evidence of the training taking place. • 2026 Training Catalogue of the Academy for Judges and Prosecutors (curriculum for year 2026). As part of its assessment, the Commission reviewed all submitted documentation.
Double funding	Contributions from third parties were reported in support of the achievement of this step. The training module on the EU state aid acquis was supported by the World Bank, primarily to facilitate the involvement of external expertise as lecturers, while the CPC covered the national procedures module and overall coordination. On the basis of the Commission's assessment, the degree of such contributions does not constitute a case of double funding, as the support was primarily focused on facilitating the expertise, while the beneficiary delivered the main objectives of the step.
Clear conclusion on the achievement of the step	**Fully achieved.**

Reform 4.1.3. Foster SMEs development by adopting and implementing the new SME strategy

The step under review	*Ease the access to lending for SMEs by amending relevant legislation to allow the use of intangible assets as collateral in lending to SMEs*
Baseline	0 (2024) (Current legal framework for SMEs)
Deadline of the step	June 2025
Conclusion of the review of the step by the beneficiary	The beneficiary considers this step as achieved.
Commission assessment of results	In line with the objective set out in the Reform Agenda, this step requires the beneficiary to amend the national legislation to facilitate the use of intangible assets, such as intellectual property, patents and trademarks, as collateral by SMEs for lending purposes. The Commission Implementing Decision C(2025)6876 of 8 October 2025 concluded that, although the Ministry of Finance reported there is no need for any legal modifications, the Reform Agenda requires the beneficiary to consider amendments to boost the use of intangible assets as collateral. Accordingly, an in-depth assessment or study on the use of intangible assets as collateral and investigating the reasons behind the limited adoption of this tool should be conducted, in line with recognised best practices, such as studies and guidance developed by the Organisation for Economic Co-operation and Development (OECD). The analysis should include recommendations on potential amendments, aimed at boosting the use of the tool by companies. Additionally, to address the low use and raise awareness, the beneficiary reported that it considers organising dedicated trainings involving the relevant stakeholders. The key group targeted for this step are companies (SMEs) seeking to use intangible assets as collateral. A full analysis of the reasons for limited uptake, and proposals to address it, was not followed through. Data extracted from the Pledge Registry within the Central Registry suggest the low usage of the tool. Only seven pledges are currently registered by the commercial banks, concerning companies' trademarks, industrial design, software, etc. Similarly, to date no progress on the training initiative was reported. Instead, the Ministry of Finance focused on promotional activities, publishing an informative article on its website and

	running an information campaign on national television. The broadcasts took place between 26 December 2025 and 9 January 2026. The Ministry also addressed the Chambers of Commerce (Union of Chambers of Commerce of North Macedonia, Economic Chamber of North Macedonia, Chamber of Commerce of North-West Macedonia) and proposed collaborating to further promote the concept among their members. **On this basis, the Commission considers this step as not achieved.** Amendments to relevant legislation were not adopted, neither an analysis of the use of intangible assets or the reasons for their limited uptake was carried out, nor dedicated trainings were delivered.
Checks performed and evidence used in the verification of the step and related findings	In line with the sources of verification, the following evidence was provided: • Letter No. 13-2801/2 from 13 May 2025 from the National Bank of the Republic of North Macedonia. • Article 1 of the Law on Contractual Pledge (*Official Gazette of the Republic of Macedonia No. 5/03, 4/05, 87/07, 51/11, 74/12, 92/12, 115/14, 98/15, 215/15, and 61/16*). • Articles 67, 88, 147, 174, 184, 218 and 244 of the Law on Industrial Property (*Official Gazette of the Republic of Macedonia No. 21/09, 24/11, 12/14, 41/14, 152/15, 53/16, 83/18, 31/20, and 86/25*). • Calculating Impairment and Special Reserve, Eligible collateral instruments points 25 to 27 from the Decision on the Methodology for Credit Risk Management (*Official Gazette of the Republic of North Macedonia No. 57/23 and 27/24*). • The beneficiary has additionally submitted: • Data from the Pledge Registry within the Central Registry of the Republic of North Macedonia. • Methodology on Recording and Valuation of Accounting Items and Preparation of Financial Statements adopted by Decision of the Council of the National Bank of the Republic of North Macedonia. • Information banner on Ministry of Finance's website. • Letters of the Ministry of Finance submitted to three chambers of commerce in the Republic of North Macedonia. • Letter from the Ministry of Finance sent to the National Broadcasting Service (MRT) regarding the information announcement.

	• Television announcement informing SMEs about the possibility of using intangible assets as collateral for lending. As part of its assessment, the Commission reviewed all submitted documentation, with close attention to the data available on websites and review of relevant legislation referenced by the national authority. In addition, the Commission consulted the Register of intangible assets managed by the Central Registry (https://www.crm.com.mk/mk/za-tsrrsm/osnovni-informatsii-za-institutsijata/registri), which records all intangible assets that are used as collateral by banks, and OECD literature on the use of intangible assets.
Double funding	No contributions from third parties were identified or reported in support of the achievement of this step.
Clear conclusion on the achievement of the step	**Not achieved**. The 'grace period' runs until 30 June 2026.

Reform 4.1.3. Foster SMEs development by adopting and implementing the new SME strategy

The step under review	*Ease the access to lending for SMEs by expanding issued guarantees under State Credit Guarantee Schemes by 24%, compared to December 2023 and increasing the number of SMEs benefiting from CGSs by 23%, compared to December 2023*
Baseline	EUR 25 million (in 299 issued guarantees) and 299 SMEs (in December 2023)
Deadline of the step	June 2026
Conclusion of the review of the step by the beneficiary	The beneficiary considers this step as achieved.
Commission assessment of results	The scheme was launched in 2021 through an Agreement on the Issuance of Guarantees from the Guarantee Fund established within the Development Bank of North Macedonia, concluded between the bank and the Government of North Macedonia (38-6658/1 dated 17 June 2021 and with the Ministry of Finance under no. 13-5759/1 dated 22 June 2021). It sets out the scope and eligibility criteria, including the main operating rules for issuing guarantees, whereby the State shares part of the credit

	risk on eligible SME loans through the Guarantee Fund in line with the agreed limits. The scheme is implemented through the main commercial banks in North Macedonia, by means of downstream agreements signed with each participating bank. In line with the Reform Agenda, the conditions for issuing guarantees were eased to further promote the uptake of the practice and achieve the outlined quantitative targets. Accordingly, on 13 February 2024 an Annex to the Agreement was concluded. It extended eligibility under the scheme to higher-risk borrowers (i.e. risk category B). It also deferred payment of fees for issued guarantees until 31 December 2025 and established a legal basis for accepting a promissory note issued by the borrower, provided it is endorsed by one or more owners holding at least 10% of the borrower's capital share. Subsequently, annexes to downstream agreements were signed between the Development Bank and the ten main commercial banks in North Macedonia. The updated conditions and criteria of the guarantee products were made publicly available on the website of the Development Bank, detailing the eligibility, key terms and coverage limits, as well as how small and medium enterprises (SMEs) can access it through the participating banks. As result of simplification, a positive trend has been observed, as reflected in the Development Bank's reporting: 1. Total value of loans supported by guarantees from the Guarantee Fund in MKD cumulative: • as of 31 December 2023, MKD 1,543,814,722.00 (EUR 25 million); • as of 31 October 2025, MKD 3,121,935,669.00 (EUR 50.76 million). Compared to the step baseline, this represents a **102.2% increase**. 2. Total financial value of the balance of issued guarantees from the Guarantee Fund: • as of 31 December 2023, MKD 891,704,976.00 (EUR 14.5 million); • as of 31 October 2025, MKD 1,832,365,403.00 (EUR 29.8 million). The increase of the total value of issued guarantees is calculated in line with the step title and description specified in the Reform Agenda. Compared to 2023 data, this represents a **105.49% increase**, thereby outperforming the 24% target.

	3. Number of SMEs benefiting from the guarantees from the Guarantee Fund: • 299 companies as of 31 December 2023; • 630 companies as of 31 October 2025. Compared to the step baseline, this represents a **110.7% increase**, thereby outperforming the 23% target. **On this basis, the Commission considers this step as achieved.**
Checks performed and evidence used in the verification of the step and related findings	In line with the sources of verification, the following evidence was provided: • Agreement on the Issuance of Guarantees from the Guarantee Fund established within the Development Bank of North Macedonia, concluded between the bank and the Government of North Macedonia (38-6658/1 dated 17 June 2021 and with the Ministry of Finance under no. 13-5759/1 dated 22 June 2021). • Annex to the Agreement on Issuance of Guarantees from the Guarantee Fund, registered under no. 14-596/1 dated 13 February 2024, concluded between the Development Bank and the Government of North Macedonia. • Report from the Development Bank of North Macedonia, including data on the credits portfolio within the Guarantee Fund, information about loans awarded and guarantee use by participating banks, as well as issued individual guarantees (cumulative). • Credit Guarantee scheme' criteria and scope presented at the website of the Development Bank, available at: https://www.mbdp.com.mk/mk/Products/GaranciiProizvod/1. As part of its assessment, the Commission reviewed all submitted documentation.
Double funding	No contributions from third parties were identified or reported in support of the achievement of this step.
Clear conclusion on the achievement of the step	**Fully achieved.**

Reform 4.1.3. Foster SMEs development by adopting and implementing the new SME strategy

The step under review	*Ease the access to lending for SMEs by expanding issued guarantees under State Credit Guarantee Schemes by 40%, compared to December 2023 and increasing the number of SMEs benefiting from CGSs by 35%, compared to December 2023.*
Baseline	EUR 25 million (in 299 issued guarantees) and 299 SMEs (in December 2023)
Deadline of the step	December 2027
Conclusion of the review of the step by the beneficiary	The beneficiary considers this step as achieved.
Commission assessment of results	The scheme was launched in 2021 through an Agreement on the Issuance of Guarantees from the Guarantee Fund established within the Development Bank of North Macedonia, concluded between the bank and the Government of North Macedonia (38-6658/1 dated 17 June 2021 and with the Ministry of Finance under no. 13-5759/1 dated 22 June 2021). It sets out the scope and eligibility criteria, including the main operating rules for issuing guarantees, whereby the State shares part of the credit risk on eligible SME loans through the Guarantee Fund in line with the agreed limits. The scheme is implemented through the main commercial banks in the country, by means of downstream agreements signed with each participating bank. In line with the Reform Agenda, the conditions for issuing guarantees were eased to further promote the uptake of the practice and achieve the outlined quantitative targets. Accordingly, on 13 February 2024 an Annex to the Agreement was concluded. It extended eligibility under the scheme to higher-risk borrowers (i.e. risk category B). It also deferred payment of fees for issued guarantees until 31 December 2025 and established a legal basis for accepting a promissory note issued by the borrower, provided it is endorsed by one or more owners holding at least 10% of the borrower's capital share. Subsequently, annexes to downstream agreements were signed between the Development Bank and the 10 main commercial banks in the country. The updated conditions and criteria of the guarantee products were made publicly available on the website of the Development Bank, detailing the eligibility, key terms and coverage limits, as well as how small and medium enterprises (SMEs) can access it through the participating banks. As result of simplification, a positive trend has been observed, as reflected in the Development Bank's reporting:

	1. Total value of loans supported by guarantees from the Guarantee Fund in MKD cumulative: • as of 31 December 2023, MKD 1,543,814,722.00 (EUR 25 million); • as of 31 October 2025, MKD 3,121,935,669.00 (EUR 50.76 million). Compared to the step baseline, this represents a **102.2% increase**. 2. Total financial value of the balance of issued guarantees from the Guarantee Fund: • as of 31 December 2023, MKD 891,704,976.00 (EUR 14.5 million); • as of 31 October 2025, MKD 1,832,365,403.00 (EUR 29.8 million). The increase of the total value of issued guarantees is calculated in line with the step title and description specified in the Reform Agenda. Compared to 2023 data, this represents a **105.49% increase**, thereby outperforming the 40% target. 3. Number of SMEs benefiting from the guarantees from the Guarantee Fund: • 299 companies as of 31 December 2023; • 630 companies as of 31 October 2025. Compared to the step baseline, this represents a **110.7% increase**, thereby outperforming the 35% target. **On this basis, the Commission considers this step as achieved.**
Checks performed and evidence used in the verification of the step and related findings	In line with the sources of verification, the following evidence was provided: • Agreement on the Issuance of Guarantees from the Guarantee Fund established within the Development Bank of North Macedonia, concluded between the bank and the Government of North Macedonia (38-6658/1 dated 17 June 2021 and with the Ministry of Finance under no. 13-5759/1 dated 22 June 2021). • Annex to the Agreement on Issuance of Guarantees from the Guarantee Fund, registered under no. 14-596/1 dated 13 February 2024, concluded between the Development Bank and the Government of North Macedonia.

	• Report from the Development Bank of North Macedonia, including data on the credits portfolio within the Guarantee Fund, information about loans awarded and guarantee use by participating banks, as well as issued individual guarantees (cumulative). • Credit Guarantee scheme' criteria and scope presented at the website of the Development Bank, available at: https://www.mbdp.com.mk/mk/Products/GaranciiProizvod/1. As part of its assessment, the Commission reviewed all submitted documentation.
Double funding	No contributions from third parties were identified or reported in support of the achievement of this step.
Clear conclusion on the achievement of the step	**Fully achieved**.

Reform 4.1.4. Support development of the innovation eco system through the implementation of the Smart Specialisation Strategy

The step under review	*Introduce a system for matchmaking between SMEs and EIC/EIT funding with co-funding from FITD in the priority areas of the Smart specialisation strategy (SSS), including of Smart agriculture and food with higher added value, Electro-mechanical industry - Industry 4.0, ICT.*
Baseline	0 (2024)
Deadline of the step	December 2025
Conclusion of the review of the step by the beneficiary	The beneficiary considers this step as achieved.
Commission assessment of results	The Reform Agenda requires to introduce a matchmaking and co-funding mechanism to help local small and medium enterprises (SMEs) access funding opportunities under European innovation programmes, namely the European Institute of Innovation and Technology (EIT) and the European Innovation Council (EIC). It aims to boost both the number of applications and successful participation in programmes already present in North Macedonia. The mechanism targets SMEs in the priority areas set out in North

	Macedonia's Smart Specialisation Strategy (S3) 2024-2027: Smart agriculture and food with higher added value, Electro-mechanical industry - Industry 4.0, ICT. The legal basis for the mechanism and the institutional setup was established through the adoption of the new Law on innovation activity, scientific and technological development and entrepreneurship (*Official Gazette No. 154/25 and 192/25*). For this purpose, as set out in Article 53, a new Agency for Innovation, Scientific and Technological Development and Entrepreneurship (INOVA) was established as the legal successor of the Fund for Innovation and Technological Development (FITD). Article 28 introduced provisions on matchmaking and co-funding by mandating the Agency to implement financing measures that facilitate innovative local companies' access to European funds. Thereafter, a concept for the mechanism was developed, elaborating a basic model for small-value grants as co-funding for local SME awarded support under the EIC and EIT programs. It was prepared by the Working Group drafting secondary legislation, after consultation with SMEs and the local EIT Community Regional Innovation Scheme (RIS) Hub representation. On this basis, the Board of the Agency adopted a Rulebook on 26 December 2025, laying down the detailed eligibility and award criteria for the allocation of financial support to companies, higher education institutions and research organisations, facilitating co-funding and matchmaking with EIT and EIC programmes, targeting beneficiaries under the priority areas of the Smart Specialisation Strategy (S3). The following types of support are envisaged (Article 4): • **Matchmaking**: For applicants aiming to apply to EIT/EIC funding, INOVA grants in the range of EUR 1000 to EUR 10,000 (depending on complexity) for advisory services or technical assistance for the preparation of a project proposal for EIT and/or the EIC, aiming to boost the matchmaking rate. • **Co-financing**: For applicants with an EIT/EIC financing agreement in place (i.e. awarded EIT/EIC funding), INOVA grants will cover up to 50% of the applicant's required own contribution under the EIT/EIC funded project, but not exceeding EUR 20,000. In addition, beneficiaries of this measure may receive during the first year of project co-financing, a 50% coverage of annual membership fee to participate in the EIT Knowledge and Innovation Communities (EIT KICs).

	Financial support will be awarded on a competitive basis through open public calls for proposals, to remain open until the available funds are exhausted or until the deadline specified in the public call for proposals. Co-funding will be provided by INOVA and budgetary resources have been secured for the operationalization of the Agency from the 2026 state budget (*Official Gazette No.253*), under the Agency's sub-line 464 "Other Transfers" which indicates the amount of MKD 59,250,000.00. Of this, MKD 9,225,000.00 (EUR 150,000.00) will be allocated to matchmaking (both advisory and co-financing) support measures, as described in the Rulebook. The Agency's 2026 Annual Work Plan and the multi-year programme 2026-2029 were adopted in March 2026, confirming the allocated budget under the Agency's own resources (state budget). Additionally, Article 21 of the Rulebook regulates monitoring and evaluation. It aims to track progress over the implementation of planned activities within the awarded projects, verify that expenditures are in line with the approved project budget for the given period and in accordance with INOVA procedures, and to assess the achieved results upon project completion. Methods include reviewing and approving reports submitted by the beneficiary, on-site visits to the beneficiaries, evaluating the outcomes resulting from the financial support received, including in-depth business and financial analysis. **Based on the above, the Commission considers this step as achieved.**
Checks performed and evidence used in the verification of the step and related findings	In line with the sources of verification, the following evidence was provided: • Law on Innovation Activity, Scientific and Technological Development and Entrepreneurship (*Official Gazette No. 154/25, 29 July 2025*). • Law amending the Law on Innovation Activity, Scientific and Technological Development and Entrepreneurship (*Official Gazette No. 192/25, 17 September 2025*). • Rulebook of facilitating the access of Macedonian enterprises, higher education and scientific institutions to the funds of the European Institute of Innovation and Technology (EIT) and the European Innovation Council (EIC) adopted on 26 December 2025. The beneficiary has additionally submitted: • INOVA's 2026 Annual Work Plan (*Official Gazette No. 65/2026, 27 March 2026*).

	• INOVA Multi-year programme 2026-2029 (*Official Gazette No. 53/2026, 12 March 2026*).
Double funding	No contributions from third parties were identified or reported in support of the achievement of this step.
Clear conclusion on the achievement of the step	**Fully achieved**.

Reform 4.1.5. Reform the governance of State-Owned Enterprises with focus on the Railways and Postal services

The step under review	*Adopt a State Ownership Strategy and a Law for State Owned Companies*
Baseline	0 (2024) (Law and Strategy not adopted)
Deadline of the step	December 2025
Conclusion of the review of the step by the beneficiary	The beneficiary considers this step as not achieved.
Commission assessment of results	In line with the Reform Agenda, the beneficiary is expected to promote professional and active state ownership, while stepping up efforts to ensure a level playing field between state-owned enterprises (SOEs) and other enterprises. Organisation for Economic Cooperation and Development (OECD) principles and recommendations are referred throughout the Reform Agenda as a best practice to be taken into account. Accordingly, the Strategy and Law should establish a robust legal framework for state ownership that supports efficient corporate governance and management of state-owned companies and public enterprises and ensures strong oversight of their activities. The step comprises two sub-requirements: *I. Adopt a State Ownership Strategy* The Working Group for drafting both the Strategy and the Law was established by the Minister of Economy and Labour on 8 October 2025, with participation from the Ministry of Finance, Public Revenue Office, Central Registry, Prime Minister's Office, Securities and Exchange Commission. Several meetings have taken place, and a draft strategy has been prepared but not adopted yet. *II. Adopt a Law for State Owned Companies*

	The draft Law on Public Enterprises and Trade Companies owned by or with participation of the Republic of North Macedonia has been prepared but not adopted yet. The same Working Group responsible for the Strategy is drafting the new law. To achieve this step, the Parliament must adopt the new Law. The process should be inclusive, timely, and based on broad political consensus. **On this basis, the Commission considers this step as not achieved.**
Checks performed and evidence used in the verification of the step and related findings	No evidence was provided in line with the sources of verification, however the beneficiary has submitted: • Government Decision of 13-14 December 2025 on establishing a Working Group for the preparation of the Draft Law on Public Enterprises and Trade Companies owned by or with participation of the Republic of North Macedonia and the minutes of the meetings of the Working Group.
Double funding	Contributions from third parties were identified or reported in support of the achievement of this step. The Working Group was supported by one expert from the Deutsche Gesellschaft für Internationale Zusammenarbeit (GIZ), who provided recommendations on the development of the Strategy and the Law. The Commission will assess whether the degree of such contributions constitute a case of double funding when the step will be reported as fully achieved.
Clear conclusion on the achievement of the step	**Not achieved**. The 'grace period' runs until 31 December 2026.

Reform 4.1.5. Reform the governance of State-Owned Enterprises with focus on the Railways and Postal services

The step under review	*Restructuring plan for state owned railways operator and railway infrastructure manager adopted by January 2025*
Baseline	0 (2024)
Deadline of the step	June 2025
Conclusion of the review of the step by the beneficiary	The beneficiary considers this step as achieved.

Commission assessment of results	Following the Commission Implementing Decision C(2025)6876 of 8 October 2025 (previous Commission assessment), the beneficiary was required to revise the restructuring action plans, address Commission's feedback, and align them to the criteria set out in the Reform Agenda. Accordingly, on 30 December 2025, the Government approved the revised Action Plans for the Public Enterprise Railway Infrastructure (PERI) and the Railway Transport Operator (PERO) State owned railway operator joint stock company, which the Ministry of Transport redrafted with the support by railways restructuring experts. PERI's revised action plan improved through a more detailed analysis of revenue streams and cost drivers. It includes 11 activities, presented with detailed timelines and a sub-activity breakdown, focusing on actions that will generate revenue gains, optimise costs, and modernise corporate governance, oversight and management. Key measures include segmentation of operations and services, the introduction of a cost-allocation methodology, the redesign of track access charges, the revision and effective implementation of Management and Infrastructure Contract (MAIC) under a performance-based framework, strengthened governance and oversight arrangements, and the depreciation and improved management of assets. Collectively, these measures are expected to enhance managerial accountability and decision-making, improve the quality of financial and operational information, and better aligning pricing and contracting with underlying costs, thereby supporting service delivery, strengthening budget discipline and reducing structural losses. Accordingly, the key performance indicators (KPIs) section links these measures to the net operating income indicator, defined as revenues minus expenses from operations, thus highlighting improved enterprise financial performance and operational sustainability, while the human resources indicators reflect a strategy for cost containment. Similarly, PERO's revised action plan through a more detailed diagnostic of revenue streams and cost drivers. It includes 13 activities and a baseline "measure zero", presented with detailed timelines and break-down, focusing on revenue gains and cost optimization, aiming to modernise corporate governance, oversight and management. Key measures include the baseline business segmentation across freight, passenger (PSO/non-PSO), logistics and traction activities, with separate cost centres and revenue structure. It also includes a strengthened corporate governance and KPI framework, commercial growth (intermodal corridors and new freight products), enhanced international corridor cooperation, logistics and terminal-based revenue

	expansion, a modern PSO/PSC framework with performance-based compensation, rolling stock modernisation, workforce re-training, enterprise digital transformation (including Transport Management System and Business Intelligence solution), energy efficiency measures, goodwill readjustment, and scrap monetisation. The indicator is clearly defined to reflect revenues minus expenses from actual operations, thereby providing an accurate picture of the enterprise's financial sustainability. Accordingly, the KPIs section links these measures to the net operating income indicator, defined as revenues minus expenses from operations, thus highlighting improved enterprise financial performance and operational sustainability, while the human resources indicators reflect a strategy for cost containment. The plan reflects synergies with international financial institutions, including measures on energy efficiency and digital transformation supported by the World Bank, while a new sovereign loan with the European Bank for Reconstruction and Development (EBRD), signed and ratified in late December 2025, will support rolling-stock modernisation trough the procurement of five new electric locomotives. The documents submitted for both PERI and PERO are considered restructuring plans within the meaning of the Reform Agenda. They meet the key qualitative criteria set out in the step's description, connect the plans to the financial and transport targets set out in the following reform steps, and address key structural issues, including workforce re-training and cost containment, revenue collection, balance-sheet repair, and a performance-based approach to state support. **Based on the above, the Commission considers this step as achieved.**
Checks performed and evidence used in the verification of the step and related findings	In line with the sources of verification, the following evidence was provided: • Two restructuring action plans, one for PERI and one for PERO. • Extract of 140th Government session held on 30 December 2025, regarding the formal adoption by the Government of the PERI Action Plan for 2026-2027. • Extract of 140th Government session held on 30 December 2025, regarding the formal adoption by the Government of the PERO Action Plan for 2026-2027. The beneficiary has additionally submitted: • Financial statements, audit reports for the years 2023 and 2024, and 2025 business and investment plans of both

	companies, providing a broad understanding of the financial issues and the strategic direction of the enterprises. • The legal basis for the establishing and functioning of the two enterprises, i.e. the Law on Public Enterprises and Law on Trade Companies. • Decisions by Management Board and by Supervisory Board of both PERO and PERI, as well as documentations related to the establishment of a working group to revise the plans. As part of its assessment, the Commission reviewed all submitted documentation. Additionally, the Commission consulted the assignment reports of the experts provided through EU technical assistance and followed the process closely.
Double funding	Contributions from third parties were reported in support of the achievement of this step. EU-funded technical assistance provided capacity development to both PERI and PERO in terms of passing know-how and best practices to the enterprises' management, delivering recommendations on the restructuring approach, and providing methodological support to the Working Group tasked of drafting the plans. On the basis of the Commission's assessment, the degree of such contributions does not constitute a case of double funding, as the support was primarily focused on enhancing expertise, while the beneficiary delivered the main objectives of the step.
Clear conclusion on the achievement of the step	**Fully achieved**.

Reform 4.1.7. Deployment of Intelligent Transport System (ITS) and e-freight

The step under review	*Implement ITS frameworks for road*
Baseline	0 (2023)
Deadline of the step	December 2025
Conclusion of the review of the step by the beneficiary	The beneficiary considers this step as not achieved.
Commission assessment of results	This step foresees alignment with the Directive (EU) 2023/2661 on the framework for the deployment of Intelligent Transport Systems (ITS) in the field of road transport and for interfaces with other modes of transport, amending Directive 2010/40/EU,

	Delegated Regulation (EU) 2022/670 on the provision of EU-wide real-time traffic information services (RTTI), and Delegated Regulation (EU) 2024/490 on the provision of EU-wide multimodal travel information services. The law on amendment of the law on public roads, aiming to align with the above-mentioned EU legislation on ITS, was adopted by Parliament (*Official Gazette No. 269/25*). Bylaws will have to be adopted in order to align with the remaining provisions from the Delegated Regulations. On 20 November 2025, the Draft Law was submitted to the European Commission for comments. Informal feedback was shared, indicating that full compliance with the EU legislation on ITS has not been reached yet. North Macedonia needs to address these comments, and the revised legislation is to be reviewed by the Commission before amendments are adopted by Parliament. **On this basis, the Commission considers this step as not achieved.**
Checks performed and evidence used in the verification of the step and related findings	In line with the sources of verification, the following evidence was provided: • Law amending the Law on Public Roads (*Official Gazette of Republic of North Macedonia No. 269/25, 31 December 2025*). The beneficiary has additionally submitted: • Minutes from the 129th Government session held on 18 November 2025.
Double funding	No contributions from third parties were identified in support of the achievement of this step.
Clear conclusion on the achievement of the step	**Not achieved**. The 'grace period' runs until 31 December 2026.

Reform 5.2.1. Improve judicial integrity by revising the processes of recruitment, selection, appointment, appraisal, promotion, transfer and dismissal of judges and prosecutors.

The step under review	*New Law on Public Prosecution and new Law on Council for Public Prosecutors adopted and timely implemented, in line with the EU acquis and European standards, including the opinion of the Venice Commission.*
Baseline	0 (2024)

Deadline of the step	December 2025
Conclusion of the review of the step by the beneficiary	The beneficiary considers this step as not achieved.
Commission assessment of results	In October 2024, the Minister of Justice established the Working group for drafting the Law amending and supplementing the Law on the Public Prosecution and a Law amending and supplementing the Law on the Council of Public Prosecutors. The final text of the Draft Law on Public Prosecution was published for public consultation on 4 April 2025, whereas the Law on the Council of Public Prosecutors was publicly consulted in June 2025. Both draft laws were translated and submitted to the Venice Commission of the Council of Europe, which adopted its opinion on 14 October 2025. The Venice Commission concludes that while the two laws contain many positive features, a few shortcomings remain. The draft Law on Public Prosecution was adopted by the Government on 30 December 2025 and was tabled in Parliament. The Law on Council of Public Prosecution is in Government procedure. For the step to be considered achieved, both laws will have to be adopted by Parliament. **Based on the above, the Commission considers this step as not achieved.**
Checks performed and evidence used in the verification of the step and related findings	No evidence was provided in line with the sources of verification, however the beneficiary has submitted: • Decisions for establishing the Working group (*No. 08-578/3 of 30 October 2024, No. 08-578/4 of 6 December 2024 and No. 21-157/1 of 16 January 2025*). • Request from the Ministry of Justice for Opinion from the Venice Commission. • Venice Commission's Joint Opinion on the Draft Law on Public Prosecution and the Draft Law on the Council of Public Prosecutors of the Republic of North Macedonia, adopted in its 114th plenary held on 10 October 2025. • Conclusion of the Government Session adopting the Law on Public Prosecution, 31 December 2025.
Double funding	No contributions from third parties were identified or reported in support of the achievement of this step.
Clear conclusion on the achievement of the step	**Not achieved**. The 'grace period' runs until 31 December 2026.

Reform 5.2.1. Improve judicial integrity by revising the processes of recruitment, selection, appointment, appraisal, promotion, transfer and dismissal of judges and prosecutors.

The step under review	*Ensure the financial independence of the judicial system to attain the goals of the Judicial Strategy (2024-2028), in line with the Law on Judicial Budget.*
Baseline	0.3% GDP for court budget and 0.2% of state budget for prosecution budget (2024)
Deadline of the step	December 2025
Conclusion of the review of the step by the beneficiary	The beneficiary considers this step as not achieved.
Commission assessment of results	The Working Group for preparing the proposal on the Law on Judicial Budget was established in October 2025. The draft Law on the Judicial Budget is in Government procedure. To consider the step as achieved, the Law will have to be adopted by Parliament. Concerning the budgetary independence of the Public Prosecution, the Draft Law on Public Prosecution should include provisions for ensuring budgetary autonomy of the Public Prosecution. Accordingly, the financial requests from the Court Budget Council and Public Prosecution Office need to be allocated without reduction and influence and funding secured. The Law on Judicial Budget would aim to achieve the objective of ensuring the financial independence of the judiciary and contribute to judicial independence, including the functional and operational independence of judicial bodies, through a legal framework aligned with European standards. **Based on the above, the Commission considers this step as not achieved.**
Checks performed and evidence used in the verification of the step and related findings	No evidence was provided in line with the sources of verification, however the beneficiary has submitted: • Decision establishing the Working Group to prepare proposal on the Law on Judicial Budget (*Archive No. 08-2123/1 of 31 October 2025*). • Venice Commission's Joint Opinion on the Draft Law on Public Prosecution and the Draft Law on the Council of Public Prosecutors of the Republic of North Macedonia, adopted in its 114th plenary held on 10 October 2025. • Conclusion of the Government Session adopting the Law on Public Prosecution, 31 December 2025.

Double funding	No contributions from third parties were identified or reported in support of the achievement of this step.
Clear conclusion on the achievement of the step	**Not achieved**. The 'grace period' runs until 31 December 2026.

Reform 5.2.2. Adopt and implement a new Action plan for the prevention of corruption in the judiciary for 2026-2029

The step under review	*Adopt the Action plan for the prevention of corruption in the judiciary for 2026-2029*
Baseline	0 (2024) (Current action plan adopted in March 2021 covers the period 2022-2025)
Deadline of the step	December 2025
Conclusion of the review of the step by the beneficiary	The beneficiary considers this step as achieved.
Commission assessment of results	The Programme for prevention and monitoring of corruption in the judiciary and the Action Plan 2026-2029 was adopted by the Judicial Council of the Republic of North Macedonia at its session held on 3 December 2025 and published on the website of the Judicial Council. The new Anticorruption Programme has been conceived and structured into four distinct sections. The first part is dedicated to the Judicial Council, as the governing body of the judiciary, and sets out the specific goals, objectives, and measures directly related to its mandate, responsibilities, and institutional role. The second part focuses on the judiciary as a whole, with measures aimed at strengthening integrity, transparency, and accountability across courts and judicial institutions. Together, these two areas provide a comprehensive framework for addressing corruption risks both at the governance level and within the day-to-day functioning of the judiciary. The third part lists proposals for implementation, reporting and monitoring of the Anti-Corruption Programme and Action Plan, and the fourth indicates proposed transparency and visibility measures. The 3-year Action plan defines two areas on Judicial Council and on Judicial institutions, therefore aiming to offer a dual perspective: on the one hand, it reinforces the governance of the judiciary through stronger accountability and transparency of the Judicial Council, while on the other, it embeds integrity and anti-

	corruption practices in the daily functioning of judicial institutions. It is designed not as a static programme but as a dynamic, participatory, and adaptable model, one that allows institutions to prioritise and adjust according to their evolving context. To ensure concrete implementation, the national institutions listed in the Action Plan should be allocated the necessary human and technical resources. Moreover, an appropriate monitoring mechanism should be designed, and synergy should be ensured with the new general anti-corruption programme to be developed for the period 2026-2030. **Based on the above, the Commission considers this step as achieved.**
Checks performed and evidence used in the verification of the step and related findings	In line with the sources of verification, the following evidence was provided: • Action Plan 2026-2029 as published on the website of the Judicial Council. The beneficiary has additionally submitted: • The Program for Prevention and Monitoring of Corruption in the Judiciary.
Double funding	Contributions from third parties were reported in support of the achievement of this step. The Anti-corruption fund of the Agence Française de Développement (AFD) provided technical support to the drafting of the report evaluating the implementation of the previous Programme and Action Plan for 2022-2025. It also provided recommendations to develop the new Action plan for the period 2026-2029. On the basis of the Commission's assessment, the degree of such contributions does not constitute a case of double funding, as the support was primarily focused on enhancing expertise, while the beneficiary delivered the main objectives of the step.
Clear conclusion on the achievement of the step	**Fully achieved**.

Reform 5.3.1 Implement an improved regulatory framework of the Judicial Council in particular to disciplinary and appeal proceedings of judges (in line with the TAIEX peer review mission of Sep 2023)

The step under review	*New Law on Judicial Council adopted in line with the 'peer review' on the functioning of the Judicial Council, from Sep 2023, and the opinion of the Venice Commission*
Baseline	0 (2024)
Deadline of the step	June 2025
Conclusion of the review of the step by the beneficiary	The beneficiary considers this step as achieved.
Commission assessment of results	In line with the Reform Agenda, the amendments to the Law on the Judicial Council should address outstanding recommendations issued by the Venice Commission of the Council of Europe, as well as the EU peer review missions on the Judicial Council. The beneficiary should also ensure that its legal framework is fully aligned with European standards and that it effectively safeguards judicial independence, including the functional and operational independence highlighted by the Technical Assistance and Information Exchange (TAIEX) peer review mission conducted in September 2023. The TAIEX peer review mission put forward a number of recommendations, notably regarding the clarification of the status, mandate, and qualification criteria of Judicial Council members, as well as regarding the enhancement of the Council's transparency, and the refinement of rules governing the appointment and disciplinary procedures of judges and members of the Judicial Council. A Working Group was initially established in November 2023 with the mandate to prepare an action plan for implementing the recommendations stemming from the peer review mission. In January 2025, an 11-member working group was formed to improve efficiency and accelerate the completion of the draft law. Its role was to review and integrate comments gathered during public hearings. Once the draft law was completed, the Ministry of Justice sought an opinion from the Venice Commission. On 16 June 2025, the Venice Commission adopted its opinion on the draft law. This opinion was confined to assessing the extent to which the remaining recommendations from its 2019 opinion had been implemented. The Working Group worked on the draft to consider the recommendations. The Law was adopted by the Government on 18 November 2025 and shared with the European Commission for feedback on 4 December 2025, together with explanations on how the recommendations from the Venice Commission were incorporated. In its feedback, the Commission noted that, while the majority of recommendations were

	addressed, full alignment with recommendations of both the Venice Commission and the peer review mission was not reached. The Law was adopted by Parliament on 29 December 2025, without reflecting the feedback received. Several recommendations need still to be addressed through amendments: **1) The clarification of parameters for evaluation, which have not yet been examined by the relevant working group** This remains unchanged in the new law. The explanations provided by the Ministry of Justice is that the Working Group focused strictly on the 2023 TAIEX 'Peer Review Mission', not the 2019 Venice recommendations. However, the Reform Agenda requires that the new Law on the Judicial Council needs to be aligned with the Peer Review Mission on the functioning of the Judicial Council *and* the opinion of the Venice Commission. **2) Ensuring that appointments made by Parliament are based on merit** The Ministry of Justice explained that Articles 12 and 13 in the new Law on the Judicial Council function as sufficient "merit" filters. However, the peer review mission's recommended having in place a process similar as for the Anti-Corruption Commission, which involves not just public interviews but scoring by a professional and independent panel. The criteria specified in the Law do not address the risk of political interference in the selection process. **3) Specifying grounds for dismissal of the President and the Deputy President of the Judicial Council** While the new four-member threshold to initiate a "vote of confidence" is a step forward, it does not fully address the recommendation of the Venice Commission requiring grounds of dismissal of the President and Deputy President from these positions to be specified (distinct from general disciplinary grounds regarding all members of the Councils) to prevent removal on political or arbitrary motives. In the context of the Reform Agenda, the Commission considers that for the step to be achieved, the beneficiary should amend the adopted Law to incorporate these recommendations. Additionally, the Commission urges North Macedonia to address all other relevant outstanding recommendations of the peer review and of the Venice Commission, notably those regarding the decision-making majority. Policy dialogue on the implementation

	of such recommendations should continue, to ensure legislative changes are in line with the accession process. **Based on the above, the Commission considers the step as not achieved.**
Checks performed and evidence used in the verification of the step and related findings	In line with the sources of verification, the following evidence was provided: • Law on Judicial Council (*Official Gazette No. 262/2025, 31 December 2025*) and its English translation. • Report on the implementation of the Peer Review mission recommendations. The beneficiary has additionally submitted: • Decision No. 08-2855/1 on the establishment of the working group, dated 16 November 2023. • Decision No. 08-142/2 on the establishment of a working group, dated 16 January 2025. • Letter no. 21-1034/1 – Act of the Ministry of Justice requesting an opinion from the Venice Commission. • Opinion of the Venice Commission https://www.coe.int/en/web/venice-commission/-/cdl-ad-2025-026-e • Act by the Ministry of justice submitting the Draft Law to the Government for adoption. • Follow-up of recommendations from the Venice Commission Opinion CDL-AD(2025)026 on the draft-law on the Judicial Council. • Review of compliance with the recommendations of the EU Peer Review Mission.
Double funding	No contributions from third parties were identified or reported in support of the achievement of this step.
Clear conclusion on the achievement of the step	**Not achieved**. The 'grace period' runs until 30 June 2026.

Reform 5.3.1 Implement an improved regulatory framework of the Judicial Council in particular to disciplinary and appeal proceedings of judges (in line with the TAIEX peer review mission of Sep 2023)

The step under review	*New members of the Judicial Council (replacing those whose mandates have expired) elected in line with amended law*
Baseline	0 (2024)

Deadline of the step	December 2025
Conclusion of the review of the step by the beneficiary	The beneficiary considers this step as not achieved.
Commission assessment of results	The reform builds on prior work in implementing the step due in June 2025 "*New Law on Judicial Council adopted in line with the 'peer review' on the functioning of the Judicial Council, from Sep 2023, and the opinion of the Venice Commission"*. Accordingly, provisions should be included on the election of Judicial Council members to strengthen credibility and reduce political influence, including by introducing a census or a minimal number of votes for election of members from among judges/prosecutors. Furthermore, the Rules of Procedure of the Council should be amended accordingly. The New Law on the Judicial Council, was adopted on 29 December 2025 (*Official Gazette No. 262/2025*), including an updated procedure for electing its members, under Article 12 which regulates the conditions and criteria. It aims to introduce an electoral quorum and safeguards to ensure the transparency, integrity, and professionalism of candidates. In addition, the Rules of Procedure have not been amended yet. In line with the step's objective, and based on the updated procedure, the election of new members to fill vacant positions should proceed. Initially, in July 2025, the mandate of a member elected by the Parliament among distinguished legal professionals expired, and the procedure to fill the vacancy under the new criteria is currently underway. An additional vacancy was announced in November 2025, for which the election is scheduled in the beginning of 2026. In December 2025, the mandates of two more members expired, for which, on 12 January 2026, the Parliament elected the two new members under the new criteria, based on the proposal of the President of the Republic of North Macedonia. While there has been notable progress and the legal basis for elections has been amended, the process of filling vacancies has not been completed yet. Two elections were successful, although after the step deadline, two are currently ongoing, and two further vacancies are expected to be announced in February and filled in accordance with the new criteria. **On this basis, the Commission considers this step as not achieved.**

Checks performed and evidence used in the verification of the step and related findings	In line with the sources of verification, the following evidence was provided: • Law on the Judicial Council (*Official Gazette No. 262/2025, 31 December 2025*). • Decision on election of two member of the Judicial Council by the Parliament of the Republic of North Macedonia (*Official Gazette No. 6/2025, 14 January 2025*). The beneficiary has additionally submitted: • Public announcement for election of a member of the Judicial Council from among distinguished legal professionals (*Official Gazette No. 233/25, 17 November 2025*). • Public announcement for Election of a Member of the Council from among Judges Belonging to the Community Constituting More than 20% of the Population in the Republic of North Macedonia, no. 02-2324 of 19 November 2025 (*Official Gazette 235/25, 20 November 2025*).
Double funding	No contributions from third parties were identified or reported in support of the achievement of this step.
Clear conclusion on the achievement of the step	**Not achieved**. The 'grace period' runs until 31 December 2026.

Reform 5.3.1 Implement an improved regulatory framework of the Judicial Council in particular to disciplinary and appeal proceedings of judges (in line with the TAIEX peer review mission of Sep 2023)

The step under review	*Judges and prosecutors subject to disciplinary proceedings have all the guarantees of a fair trial*
Baseline	0 (2024)
Deadline of the step	December 2025
Conclusion of the review of the step by the beneficiary	The beneficiary considers this step as not achieved.
Commission assessment of results	In line with the Reform Agenda, the step comprises two sub-requirements: *I. Rights of judges in disciplinary proceedings*

	The reform builds on prior work in implementing the step due in June 2025 "*New Law on Judicial Council adopted in line with the 'peer review' on the functioning of the Judicial Council, from Sep 2023, and the opinion of the Venice Commission."* The New Law on the Judicial Council, was adopted on 29 December 2025 (*Official Gazette No. 262/2025*) and it includes provisions and safeguards ensuring fair trial in disciplinary proceedings. Notably, the law aims to strengthen judicial protection by clearly guaranteeing the right to appeal and introducing a two-tier judicial review of dismissal decisions before the Administrative Court and the Higher Administrative Court. It also aims to reinforce procedural safeguards, including defined deadlines, reasoned decisions, and accountability mechanisms, addressing previous shortcomings regarding legal protection and appeal deadlines. It would allow confidential proceeding and closed Council sessions only under strict conditions (two-third vote with public justification) and never for sessions electing judges. Public hearings take place upon the judge's request. **The Commission concludes this sub-requirement is addressed.** *II. Rights of public prosecutors in disciplinary procedures* The reform builds on ongoing work in implementing the step due in December 2025 *"New Law on Public Prosecution and new Law on the Council of Public Prosecutors adopted and timely implemented, in line with the EU acquis and European standards, including the opinion of the Venice Commission"*. Draft laws on the Public Prosecution and the Council of Public Prosecutors were prepared, with the aim of introducing provisions and safeguards ensuring fair trial in disciplinary proceedings, in line with the reform objective. The laws were consulted and received an opinion from the Venice Commission at its 144th plenary session (9-10 October 2025). Subsequently, the laws were adopted by the Government: Law on Public Prosecution on 30 December 2025, and Law on the Council of Public Prosecutors on 9 February 2026. Prior to submission to the Parliament, the draft laws should be submitted to the European Commission for an opinion along with the tables of concordance. To achieve this step, the Parliament should adopt the remaining two laws on the Public Prosecution Office and Council of Public Prosecution, including provisions and safeguards on disciplinary procedures, in line with European Standards and the Venice Commission opinion. **On this basis, the Commission considers this step as not achieved.**

Checks performed and evidence used in the verification of the step and related findings	In line with the sources of verification, the following evidence was provided: • Law on the Judicial Council (*Official Gazette No. 262/2025, 31 December 2025*). • Venice Commission's Joint Opinion on the Draft Law on the Judicial Council of the Republic of North Macedonia, adopted in its 143th plenary held on 13-14 June 2025 (*https://www.coe.int/en/web/venice-commission/-/cdl-ad-2025-026-e*). • Venice Commission's Joint Opinion on the Draft Law on Public Prosecution and the Draft Law on the Council of Public Prosecutors of the Republic of North Macedonia, adopted in its 144th plenary held on 9-10 October 2025. The beneficiary has additionally submitted: • Conclusion of the Government Session adopting the Law on Public Prosecution, 30 December 2025.
Double funding	Contributions from third parties were identified in support of the achievement of this step. Concerning the new Law on Judicial Council (provisions for judges), the IPA Rule of Law (ROLAW) project provided expertise on the degree of transposition of the 'peer review' recommendations and Venice Commission opinion, providing useful analytical capacity to drafting process within the working group, including the provisions on right of fair trial in disciplinary proceeding The Commission will assess whether the degree of such contributions constitute a case of double funding when the step will be reported as fully achieved.
Clear conclusion on the achievement of the step	**Not achieved**. The 'grace period' runs until 31 December 2026.

Reform 5.5.1 Additional resources allocated to the Office of the Basic Public Prosecutor for Organised Crime and Corruption, notably specialised prosecutors, financial experts, and digital forensic analysts.

The step under review	*Basic Public Prosecution Office for Organised Crime and Corruption fully and adequately staffed with, notably specialised prosecutors, financial experts, and digital forensic analysts*
Baseline	13 public prosecutors in Basic PPO for Organised Crime and Corruption; 21 investigators in the Investigative Centre; 31 administrative staff of the Basic PPO (2024)

Deadline of the step	December 2025
Conclusion of the review of the step by the beneficiary	The beneficiary considers this step as not achieved.
Commission assessment of results	To achieve this step, the beneficiary should ensure fulfilment of all vacant positions within the Basic Public Prosecution Office for Organised Crime and Corruption (BPPOCC) with skilled and knowledgeable staff according with merit-based selection procedures. The BPPOCC currently employs 13 public prosecutors out of 18 required: 17 specialised prosecutors for organised crime and corruption and one Chief of the Basic Public Prosecution Office. Within the office, the public prosecutors are assigned to specialised departments focusing on specific types of offences: - Department responsible for prosecuting criminal offences committed by police and prison police personnel (staffed with one department head and two public prosecutors); - Department responsible for handling cases involving criminal offences stemming from communications conducted via the SKYECC application (staffed with two public prosecutors); - Departments for prosecuting offences in the fields of terrorism and corruption (staffed with two public prosecutors each); - National Unit for Combating Migrant Smuggling and Human Trafficking (staffed with one department head); - Finally, two public prosecutors handle general cases, in accordance with the BPPOCC's jurisdiction. At the BPPOCC's Investigation Centre, there are currently 29 investigators. This team includes 26 individuals who are temporarily assigned from the Ministry of Internal Affairs, two from the Financial Police Administration, and one from Customs Police. The number of investigators may vary depending on the office's workload. The administrative staff within the Public Prosecutor's Office is currently operating with a staffing level of 45.07%, as only 32 of the 71 positions foreseen are filled, leaving 39 vacant. A new Rulebook for the classification of administrative staff is being prepared to include roles for financial experts and forensic specialists. The employment of these specialists will require approval from the Ministry of Finance to ensure the provision of necessary financial resources.

	Based on the above, the Commission considers this step as not achieved.
Checks performed and evidence used in the verification of the step and related findings	No evidence was provided in line with the sources of verification, however the beneficiary has submitted: • Decision on determining the number of public prosecutors in public prosecutor's offices and public prosecutors within the offices (*Official Gazette of Republic of North Macedonia No. 172/23, 14 August 2023*). • Annual Work Plan of the Basic Public Prosecutor's Office for Prosecution of Organized Crime and Corruption for 2025. • Strategy for Strengthening Capacities for Conducting Financial Investigations and Asset Confiscation for the Period 2025–2028, with an Action Plan for 2025–2026. • Action plan for implementation of the Financial Investigations Strategy.
Double funding	No contributions from third parties were identified or reported in support of the achievement of this step.
Clear conclusion on the achievement of the step	**Not achieved**. The 'grace period' runs until 31 December 2026.

Reform 5.5.2 Increase the number of investigations, prosecutions, final judgements, seizure, and final confiscations in corruption, including high-level cases.

The step under review	*Adoption of the Criminal Code in line with the EU acquis and European standards, including the definition of abuse of functions, with sufficiently long statutes of limitations and effective, proportionate and dissuasive sanctioning*
Baseline	0 (2024) (Current Criminal Code)
Deadline of the step	December 2025
Conclusion of the review of the step by the beneficiary	The beneficiary considers this step as not achieved.
Commission assessment of results	In March 2025, the Constitutional Court of North Macedonia formulated reservations regarding the constitutionality of the amendments to the Criminal Code introduced in September 2023, requesting the Parliament to review the relevant provisions.

	In September 2025, the Ministry of Justice established a Working Group to prepare a new Criminal Code in line with the EU acquis and European standards. The Working Group builds on the work already carried out by a previous Working Group supported by the Mission of the Organization for Security and Co-operation in Europe (OSCE) to Skopje from 2020 to 2023. The Working Group has yet to complete its mandate and submit a proposal of new draft Criminal Code to the Ministry of Justice. Subsequently, the draft will have to be approved by the Government to enter the legislative process. After adoption by the Government, and prior to submission to Parliament, it is foreseen that the new Criminal Procedure Code will be consulted with the Commission and that feedback will be provided and accommodated. In parallel, on 28 January 2026, Parliament adopted amendments to the Criminal Code upon the initiative of individual members, in an attempt to redress the changes made in 2023 and as a response to the Constitutional Court's review deadline, which had expired in the meantime. The President signed the amendments on 29 January. These amendments were presented as an interim solution before the adoption of a new Criminal Code. **On this basis, the Commission considers this step as not achieved.**
Checks performed and evidence used in the verification of the step and related findings	No evidence was provided in line with the sources of verification, however the beneficiary has submitted: • Decision for the establishment of a Working Group on drafting a new Criminal Code, from December 2020. • Decision for the establishment of a Working Group on drafting a new Criminal Code, from September 2025.
Double funding	No contributions from third parties were identified or reported in support of the achievement of this step.
Clear conclusion on the achievement of the step	**Not achieved**. The 'grace period' runs until 31 December 2026.

Reform 5.5.2 Increase the number of investigations, prosecutions, final judgements, seizure, and final confiscations in corruption, including high-level cases.

The step under review	*Adoption of a new Code for Criminal Procedure, aligned with EU acquis and international practice*
Baseline	0 (2024) (Current Criminal Code Procedure)

Deadline of the step	December 2025
Conclusion of the review of the step by the beneficiary	The beneficiary considers this step as not achieved.
Commission assessment of results	With preparatory work ongoing for the drafting of a new Criminal Code, the Law on Criminal Procedure will subsequently require revision. In line with the Reform Agenda, a revised Law on Criminal Procedure aligned with the EU acquis and relevant international standards is required. A Working Group was set up in April 2021 by the Ministry of Justice to revise the Criminal Code Procedure, building on the work of a previous working group supported by the Mission of the Organization for Security and Co-operation in Europe (OSCE) to Skopje. After a prolonged period of inactivity, drafting has resumed in Spring 2025 with the objective of finalising a text for Government adoption, in coordination and harmonization with the ongoing work on the new Criminal Code. Despite the preparatory work undertaken, and similar to the parallel process on the new Criminal Code, a revised Criminal Procedure Code has not yet been adopted. After adoption by the Government, and prior to submission to Parliament, it is foreseen that the new Criminal Procedure Code will be consulted with the Commission and that feedback will be provided and accommodated. **On this basis, the Commission considers this step as not achieved.**
Checks performed and evidence used in the verification of the step and related findings	No evidence was provided in line with the sources of verification, however the beneficiary has submitted: • Decision for the establishment of a Working Group on drafting a revised Code for Criminal Procedure, from April 2021.
Double funding	Contributions from third parties were reported in support of the achievement of this step. Working Group activity began in April 2021, benefiting from technical assistance and capacity-building support from several stakeholders, including the OSCE Mission, with work currently being resumed on the basis of previously provided inputs. The Commission will assess whether the degree of such contributions constitute a case of double funding when the step will be reported as fully achieved.

Clear conclusion on the achievement of the step	**Not achieved**. The 'grace period' runs until 31 December 2026.

Reform 5.6.1. Introduce a target-based approach to combating serious and organised crime, with a concrete action plan and strategy that leads to improving the track record of investigations, prosecutions, final judgements, seizure, and final confiscations in cases of organised crime, including high-level cases

The step under review	*Amended the Law on Weapons with the EU classification of weapons harmonised*
Baseline	0 (2024) (draft Law)
Deadline of the step	December 2025
Conclusion of the review of the step by the beneficiary	The beneficiary considers this step as not achieved.
Commission assessment of results	In line with the step's objective, the Law on Weapons will be amended in order to align with the EU Directives 2021/555, 2019/69, EU Regulations 258/12 and 2015/2403, in term of definitions, categorisation, technical specification of the alarm and signal weapons, transport of weapons, and marking of firearms. A draft text of the Law is under preparation by the Working Group established for this purpose. In November 2025, the draft Law, together with the Draft Report on the Impact Assessment of the Regulation on the Law on Weapons, was published for public consultation on the ENER platform. The public consultation period ended on 28 December 2025. As a next step, the law will proceed to Government adoption. The law will be submitted to the European Commission for an opinion along with tables of concordance, prior to adoption by Parliament. **Based on the above, the Commission considers this step as not achieved.**
Checks performed and evidence used in the verification of the step and related findings	In line with the sources of verification, the following evidence was provided: • Draft Law on Weapons, as published for public consultation. The beneficiary has additionally submitted:

	• Draft Report on the Impact Assessment of the Regulation on the Law on Weapons accompanying the public consultation.
Double funding	Contributions from third parties were identified in support of the achievement of this step. Technical assistance has been provided by the South-Eastern and Eastern Europe Clearinghouse for the Control of Small Arms and Light Weapons (SEESAC) for the implementation of the "Roadmap for a sustainable solution to arms control in the Western Balkans", under Object 1, foreseeing legislative framework alignment. The Commission will assess whether the degree of such contributions constitute a case of double funding when the step will be reported as fully achieved.
Clear conclusion on the achievement of the step	**Not achieved**. The 'grace period' runs until 31 December 2026.

Reform 5.7.1 Strengthen capacities regarding assets confiscation and recovery in line with the EU acquis, establish an Asset Recovery Office ARO in charge of the identification and tracking of criminal assets, in line with the EU acquis.

The step under review	*All vacancies on the Agency for Management of Confiscated Property have been filled*
Baseline	0 (2024)
Deadline of the step	June 2025
Conclusion of the review of the step by the beneficiary	The beneficiary considers this step as achieved.
Commission assessment of results	In March 2024, the Parliament adopted amendments to the Law on the Management of Confiscated Property, Property Benefits, and Seized Objects from Criminal and Misdemeanour Proceedings, which aimed to align the legislative framework with the then-in-force Directive 2014/42/EU on the freezing and confiscation of instrumentalities and proceeds of crime. These amendments introduced additional responsibilities and have significantly increased the Agency's workload. To meet these new obligations, the systematisation rulebook was updated in December 2024 to increase the Agency's staff to a total of 79 positions. In the course of 2025, the Agency conducted an internal workload analysis, with the aim of rationalising the number of systematized positions from 79 to 65, while not affecting core functions, and identifying duplicated or non-specialised roles not aligned with operational needs. External expertise has been

	engaged to prepare a new functional analysis with expected completion in February 2026. As a result, the existing systematization rulebook will be amended. To achieve this step, which commits to "all vacancies being filled", the Agency should build on its systematisation act, by requesting and securing the approval from the Ministry of Finance for the foreseen employments. Following this, the Agency should finalise a transparent, merit-based recruitment procedure to ensure that positions are filled by the most qualified personnel. These should be supported by additional evidence, such as the legal basis outlining the selection criteria, the published job descriptions, and the employment justification forms. Special attention should be given to the latter, which should be duly filled for each reported recruitment, clearly outlining the candidate's background, experience, and the rationale for their selection. Following a series of requests for employment by the Agency, on 8 August 2025 the Ministry of Finance approved 13 temporary employments. Of these, 11 hires were completed, but the contracts ended in January 2026. In line with the step's objective, the focus should be on securing permanent hires and conversion of the temporary position to permanent. On 14 April 2025, the request of the Agency for five permanent positions was approved. This includes four administrative servants (two Heads of Department, one Junior Associate, one Senior Associate Archivist) and one support staff (driver). Recruitment procedures, publicly announced in July 2025, were suspended for the period of the local elections and resumed afterwards. By December 2025, the supporting staff and three out of the four administrative servants' hires were completed. The remaining position (Junior Associate) required successive announcements and remains open due to lack of applicants. An Annual Recruitment Plan for 2026 for 18 permanent positions was prepared and approved by the Ministry of Finance on 15 January 2026. Funds were allocated and recruitments will begin in due course. In conclusion, as of early 2025, 39 positions were filled. However, one retirement occurred, and three permanent positions were added, bringing the total number of permanent staff to 41, plus one support staff. Considering the systematisation act still in force by 31 December 2025, all vacancies in the Agency were therefore not filled by the reporting deadline.

	Based on the above, the Commission considers this step as not achieved.
Checks performed and evidence used in the verification of the step and related findings	No evidence was provided in line with the sources of verification. However, the beneficiary has submitted: • Decisions of employment for: Head of the Department for Enforcement of Court Decisions, Head of the Department for Accounting and Payments, Senior Associate and Driver. • Decision on non-selection for one position, due to the lack of candidates fulfilling the prescribed requirements: Junior Associate for IT Support. • 2025 Annual Employment Plan of the Agency (*Archive No. 04-1828/2, 14 April 2025*) for 5 permanent positions (4 administrative servants and 1 supporting staff). • 2026 Annual Employment Plan of the Agency (*Archive No. 04-3410/13, 26 December 2025*) for 18 permanent positions. • Request for 13 temporary employments, and the decision of employments for 12 temporary contracts and Statement of Withdrawal from Employment Selection of 1 candidate of the 12. • Approvals from the Ministry of Finance on the Annual Employment Plans of the Agency.
Double funding	Contributions from third parties were identified in support of the achievement of this step. The functional analysis of staff needs of the Agency, which will inform the updated systematisation rulebook, foreseen to be amended in February 2025, is developed with assistance for the IPA Rule of Law project (ROLAW). The previous functional analysis from late 2024 was developed within the same project assistance. On the basis of the Commission's assessment, the degree of such contributions does not constitute a case of double funding, as the support was primarily focused on enabling factors, while the beneficiary delivered the main objective of the step, i.e. filling the vacancies in the Agency.
Clear conclusion on the achievement of the step	**Not achieved**. The 'grace period' runs until 30 June 2026.